Does Economic Globalization Promote Democracy? An Empirical Investigation into the Political Consequences of Economic Integration

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ABSTRACT

Global economic integration has been a defining feature of the 21st century, as has a steady cross-national wave of democratic backsliding. Are these two trends related? Many studies have tackled the impact of economic globalization on democracy, but most do not model the persistence of democracy rigorously. I provide evidence that globalization's relationship to democracy varies depending on the aspect of democracy under study. Trade openness was found to have a negative association with electoral freeness and fairness, while foreign direct investment outflows were positively associated with equality before the law and civil liberties. The latter finding is heterogeneous across levels of development, with subsample results suggesting that the relationship is almost entirely driven by developing countries. I construct a panel of 143 countries from 1991 to 2023 and employ a dynamic panel model to estimate the relationship between globalization and democracy. Unlike other studies, I use a three-pronged operationalization of democracy, separately examining the statistical associations of globalization with electoral quality, civil liberties, and political equality. This granularization captures dynamics in globalization's link to democracy that may otherwise go unnoticed or be misattributed to democracy as a whole. The robustness of these results is examined under several different model specifications, estimation techniques, and sample modifications. Last, I propose a series of mechanisms that offer theoretical underpinnings to the empirical findings. The study's findings represent a statistical, albeit primarily predictive step toward establishing a future causal relationship.

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The replication package for this project is available in a GitHub repository, accessible here.

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1 Introduction

Democracy is on a global decline. Freedom House's *Freedom in the World 2025* asserts that "global freedom declined for the 19th consecutive year in 2024."[1] Similarly, the Varieties of Democracy Institute's *Democracy Report 2025* states, "The world has fewer democracies (N=88) than autocracies (N=91) for the first time in over 20 years. . . Nearly 3 out of 4 persons in the world—72%—now live in autocracies. This is the highest since 1978."[2] This trend extends beyond just a static "autocracy" versus "democracy" categorization. According to V-Dem, there are also 45 countries currently in the midst of autocratization and only 19 countries in the midst of democratization.[3]

Casual observation of recent global events lends descriptive support to the aforementioned numbers. On December 3, 2024, South Korean president Yoon Suk Yeol declared martial law, purportedly in efforts to curb threats from anti-state actors. This move was met with multi-party antagonism in Korea, with many perceiving it as an attempt to subdue legitimate political opposition. Since Donald Trump's reelection, the United States seems regularly embroiled in threats to its democratic integrity, both through the implementation of new domestic policy, as well as through foreign policy maneuvers. Furthermore, Russia's invasion of Ukraine represents a direct encroachment on a sovereign state's democracy.

A question emerges from this trend. If democracy represents a normative and pragmatic virtue for humanity, what can be done to foster it? I embark on the present study with the hope of contributing to a compelling and important discussion—one with obvious policy implications.[4] Should money, manpower, and political capital be expended on economic globalization in pursuit of democracy? Where? How? For what purpose? By compiling and examining a thirty-three year data set, I offer a body of statistical information regarding the relationship between democracy and globalization, one that may prove useful in responding to the question: what can be done?

This concern with global fluctuations in democracy is nothing new. Samuel P. Huntington famously framed democracy in terms of "waves," arguing that democratization processes would

[1] Yana Gorokhovskaia and Cathryn Grothe, *Freedom in the World 2025: The Uphill Battle to Safeguard Rights* (Washington, DC: Freedom House, 2025), 2.

[2] Nord, Marina, David Altman, Fabio Angiolillo, Tiago Fernandes, Ana Good God, and Staffan I. Lindberg, *Democracy Report 2025: 25 Years of Autocratization – Democracy Trumped?* (University of Gothenburg: V-Dem Institute, 2025), 6.

[3] Ibid., 6–7.

[4] Such implications and their surrounding debates will be outlined in the literature review.

"snowball" from country to country in quick succession.[5] According to Huntington's wave theory, these "waves of democratization" would be followed by "reverse waves," during which previously transitioned democracies would relapse into autocracy. Under this framework, perhaps the world is currently in the midst of a "reverse wave."

The statement that the world is currently undergoing a "reverse wave" is not particularly controversial nor insightful. While distressing, it is plausible to assume that democratic backsliding is, to some extent, inevitable. However, it is equally plausible that, while democratic backsliding as a whole is unavoidable, the magnitude and duration of these reverse waves may be mitigated. After all, Huntington's three "reverse waves" vary widely in length, breadth, and scope. The first followed the end of World War I and lasted from 1922 to 1942, decreasing the number of democratic states in the world to only 12 (by Huntington's categorization)—a reduction of more than half. The second spanned 1960 to 1975, with only six countries reverting to authoritarianism. The third was more elusive. Huntington observed its genesis but acknowledged that Sudan's and Nigeria's reversions to autocracy in the 1980s only marked the beginning of autocracy's snowball effect. While some have criticized the methodological rigor of Huntington's "waves of democratization," scholars still recognize its usefulness in framing global democratization and cross-country democratic backsliding. For instance, Lindberg and Lührmann sought to extend Huntington's waves in an effort to observe the trajectory of the third wave and reverse wave. Figure 1 displays their findings below.[6]

[5] Samuel Huntington, "Democracy's Third Wave," *Journal of Democracy* 2, no. 2 (1991): 12–34.

[6] Anna Lührmann and Staffan I. Lindberg, "A third wave of autocratization is here: what is new about It?" *Democratization* 26, no. 7 (2019): 1095–1113.

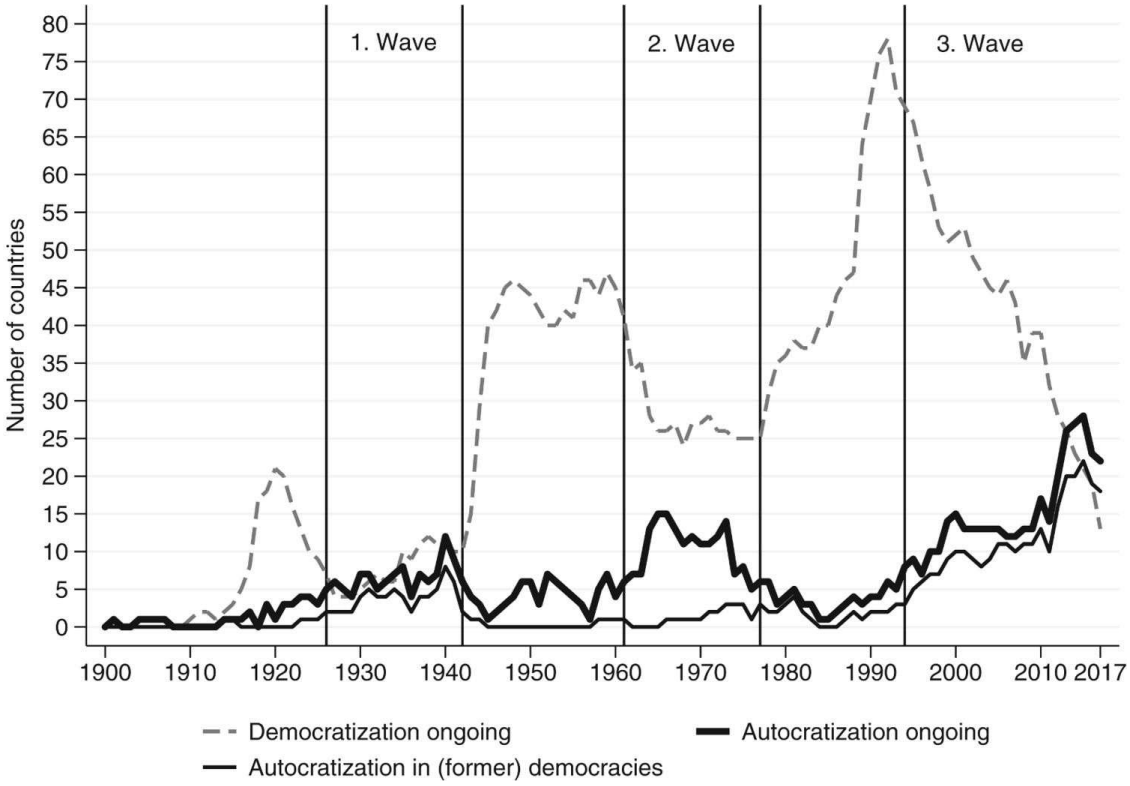


FIG. 1. The three waves of autocratization. Adapted from: Anna Lührmann and Staffan I. Lindberg, "A third wave of autocratization is here: what is new about it?" *Democratization* 26, no. 7 (2019): Figure 2.

Their analysis concludes that democratization has slowed rapidly since the 1990s. On the contrary, autocratization—both in consolidated autocracies and previously democratic regimes—has accelerated. While their analysis only captures these trends up to the year 2017, few would argue that democracy's trajectory has significantly improved since then. If anything, autocracy's influence has expanded, both in strength and in scope. Thus, this third "reverse wave" seems the longest by a large margin—spanning at least 1990 to 2017, and likely up until the present day. To chart democracy's trajectory from 2017 onwards, I map out the trend of V-Dem's mean electoral and liberal democracy index scores from 2017 to 2024 in Figure 2.

Figure 2 displays that democracy has continued to deteriorate around the world, with a decrease of roughly 7% in the electoral democracy index and 8% in the liberal democracy index from 2017 to 2024.

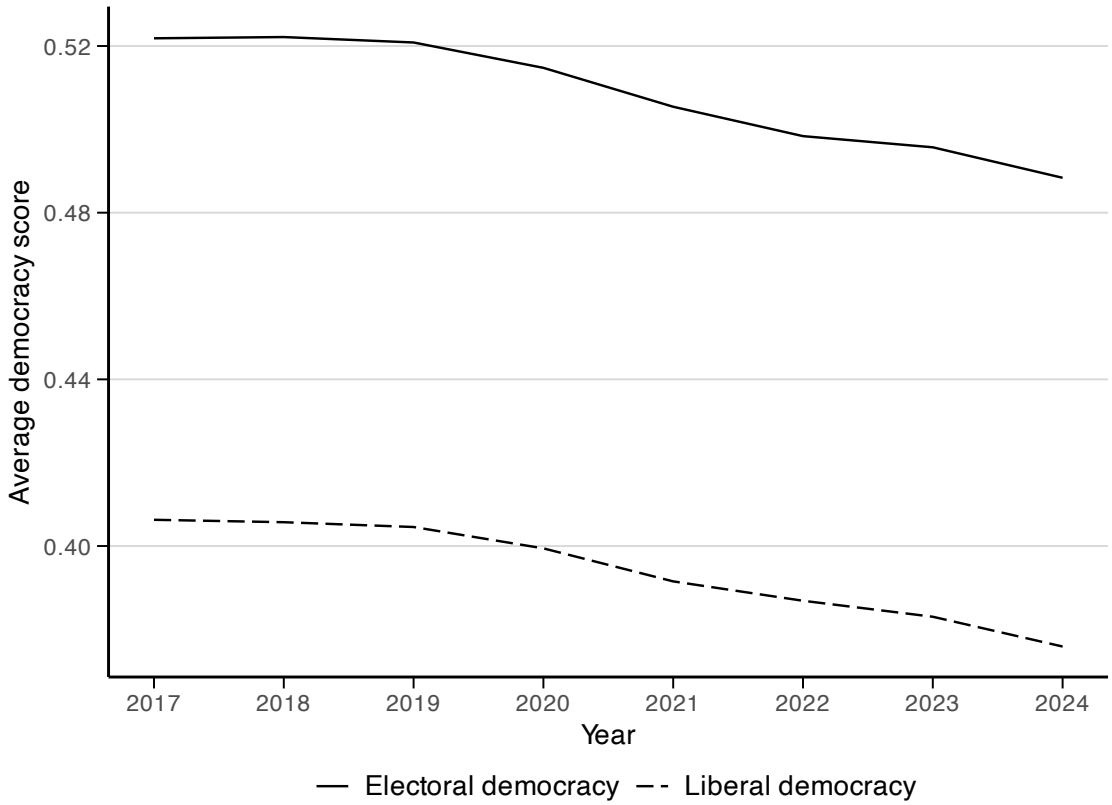


FIG. 2. Democracy's trajectory from 2017 to 2024. The data come from the Varieties of Democracy (V-Dem) Institute's Dataset v15. The electoral democracy line represents V-Dem's *v2x_polyarchy* variable, and the liberal democracy line represents V-Dem's *v2x_libdem* variable.

Even those convinced of democracy's decline may not value its revival. Indeed, if democracy is, in fact, an inferior political system, then there ought to be no reason for policymakers or citizens to halt its erasure. Although democracy may seem an unequivocal good (at least to the vast bulk of those living in Western democracies), this normative position only came to prominence in the late 19th and early 20th century. Much classical political theory rests on the notion that authoritarianism necessarily prevents the potential violence resulting from disagreement on first principles. For instance, Hobbes contends that, in order to regulate the differing interpretations of the world produced by varying sensual perceptions of objects, a commonwealth with an absolute sovereign must be established to provide universal interpretations of external stimuli.[7] Schmitt extends Hobbes's argument more directly to the international realm, arguing that only an authoritarian state is capable of determining who is friend and who is enemy.[8] Such arguments remain

[7] Thomas Hobbes, *Leviathan* (InteLex Corporation, 1995)
[8] Carl Schmitt, *The Concept of the Political* (University of Chicago Press, 1996).

reasonable in theory, but tend to collapse in practice, when autocrats co-opt the power vested in them for personal gain.

The importance of theories of democracy hinges on the importance of democracy itself. If democracy is not worth pursuing, then why should we care about its causes? Robert Dahl's *On Democracy* devotes its fifth chapter, "Why Democracy," to answering this question.[9] He notes ten empirical and normative advantages of democracy, namely: (1) avoiding tyranny, (2) essential rights, (3) general freedom, (4) self-determination, (5) moral autonomy, (6) human development, (7) protecting essential personal interests, (8) political equality, (9) peace-seeking, and (10) prosperity.[10] Dahl's discussion remains mostly theoretical, although there also exists strong empirical evidence to support the view that democracy catalyzes these outcomes. Patterson and Veenstra found that "electoral democracies have 11 years of longer life expectancy on average," when compared to other types of regimes.[11] Bollyky and colleagues similarly found that HIV-free life expectancy increased by 3% in the 10 years following a democratic transition and that "democratic experience explains 22.27% of the variance in mortality within a country from cardiovascular diseases."[12]

In pursuit of these desirable outcomes of democracy, scholars and policymakers alike have sought to understand the causes of democracy. While there are countless theories, the one of concern to this paper is what I will call the "globalization-democracy theory"—the argument that economic globalization drives democracy. It should be noted that the research question of this paper focuses solely on the economic dimension of globalization. This self-imposed limitation, while necessary, bears mentioning, as there are certainly strong arguments that cultural, political, and social globalization may be related to democracy.[13] The various approaches used to study this relationship, as well as my research's interaction with these approaches, will be outlined in the literature review.

This paper explores the relationship between economic globalization and democracy, seeking to

[9] Robert A. Dahl, On Democracy (Yale University Press, 1998), 44–61.

[10] Ibid.

[11] Andrew C. Patterson and Gerry Veenstra, "Politics and population health: Testing the impact of electoral democracy," *Health & place* 40 (2016): 66–75.

[12] Thomas J. Bollyky et al., "The relationships between democratic experience, adult health, and cause-specific mortality in 170 countries between 1980 and 2016: an observational analysis," *The Lancet* 393, no. 10181 (2019): 1628–1640.

[13] For further comment on the implications of this limitation, see section 6.

understand its extent and direction, as well as the conditions under which the relationship appears and disappears. To spoil the results of my study, I find that the nature of globalization's relationship with democracy varies depending on both the index of globalization and the index of democracy under study, as well as a country's level of development. In the pooled analysis, trade openness is associated with decreased freeness and fairness of elections, while foreign direct investment outflows is linked to greater equality before the law and individual liberty. The latter relationship appears to be driven nearly entirely by developing countries, while the former relationship seems unaffected by level of development.

1.1 Conceptual Definitions

Definitions of democracy vary, but tend to fall into either a "minimalist" or "maximalist" category. Austrian political economist Joseph Schumpeter's seminal definition of democracy serves as a useful minimalist starting point. In particular, Schumpeter claims that the "democratic method is that institutional arrangement for arriving at political decisions in which individuals acquire the power to decide by means of a competitive struggle for the people's vote."[14] He contrasts his minimalist definition of democracy with the "classical doctrine", which emphasizes democracy as the pursuit of a "common good". Schumpeter's theoretical issues with the classical doctrine of democracy stem from its ambiguity. He claims that the classical doctrine's reliance on a "common good" hinges on a series of subjective value judgments, each of which begs more questions than it answers. For instance, who decides what is "good"? How common is common enough? How is a common good extracted from an "infinitely complex jumble of individual and group-wise situations, volitions, influences, actions and reactions of the 'democratic process'"?[15]

Schumpeter's definition also provides a far better criterion by which to separate democratic governments from other ones. The classical doctrine struggles with clearly distinguishing between democracies and other governments because "both the will and the good of the people may be, and in many historical instances have been, served just as well or better by governments that cannot be described as democratic according to any accepted usage of the term."[16] By contrast, the presence or absence of the elements required to meet Schumpeter's definition of democracy

[14] Joseph A. Schumpeter, *Capitalism, Socialism and Democracy* (Routledge, 2003), 269.
[15] Ibid., 253.
[16] Ibid., 269–270.

are easily verifiable.[17] In other words, when one shifts towards Schumpeter's doctrine, the phrases "more democratic" and "less democratic" take on material, measurable, empirical implications.

Despite its benefits, Schumpeter's definition falls short in a few key places. The Schumpeterian ideal relies on a set of pre-established rights and freedoms that Schumpeter fails to make explicit. Dahl points to this limitation in his own work seeking to provide a definition of democracy.[18] For a government to be democratically responsive to the preferences of its citizens, Dahl argues it must allow citizens to formulate their preferences, signify their preferences, and have their preferences weighed equally by the government.[19] The institutional guarantees necessary to the formulation of preferences include the freedom to form and join organizations, freedom of expression, the right to vote, the right of political leaders to compete for support, and access to alternative sources of information. In addition to these five requirements for the formulation of preferences, signifying preferences also requires that all citizens are eligible for office and that free and fair elections are hosted regularly. For such processes to run peacefully, institutions for creating government policies must depend on votes. From this, it is clear that the word "democracy" necessarily denotes more than just "free and fair elections".

Thus, this paper moves forward with a definition of democracy that considers both the electoral and liberal components of democracy. Broadly, the "electoral components" refer to the presence of free, fair, and regular elections within a given country, while the "liberal components" refer to the presence of rule of law, liberalism, judicial fairness, and civil liberties. It should further be clarified that the word "democracy" encompasses a spectrum of possible levels. For instance, a system of governance that permits participation by all levels of society, not merely elites, would elevate a "democracy" to a higher plane, as would a system that guarantees fundamental human rights such as freedom of thought, freedom of expression, and so on. Democracy, in other words, can be conceived as a pyramid of increasing scope and complexity, not as a single homogeneous descriptor.

The term "globalization" should similarly be defined. At the least, this term, in its economic sense, denotes integration in the world economy. Globalization may involve both private and public

[17] Contemporary scholars have emphasized a focus on verifiable observables in quantifying, measuring, and defining democracy. For instance, see: Adam Przeworski et al., *Democracy and Development: Political Institutions and Well-Being in the World, 1950–1990* (Cambridge University Press, 2000), Chapter 1.

[18] Robert A. Dahl, *Polyarchy: participation and opposition* (Yale University Press, 1971).

[19] Ibid., 2–3.

actors. Domestic firms invest abroad and receive investment from abroad, while the state controls trade, tariffs, and distribution of resources. Economic globalization materializes through trade liberalization, foreign direct investment, and the flow of capital across international borders. While broad, this description lays enough of a foundation to operationalize economic globalization for quantitative analysis.

To preview the remainder of this paper, the next section will survey the literature on globalization-democracy theory, highlighting its theoretical origins, challenges, and contemporary debates. Following the literature review, I describe the data and variables under study in this paper. Then, I outline my identification strategy, econometric model, and estimation techniques. The last sections present the data analysis, explore the robustness and heterogeneity of my findings, and address this paper's limitations and areas of expansion for future research.

2 Literature Review

Studies of globalization's effect on democracy report conflicting results, on both theoretical and empirical grounds. Key Enlightenment figures such as Kant and Mill frame the relationship between globalization and democracy as a positive one. For Kant, economic interdependence deters states from war, arguing that conflict bears heavy economic burdens on all states involved.[20] In democratic states (what Kant calls "republican" states), the costs of war increase because the "consent of the subjects" directs the will of the state, and the governed "should weigh the matter well, before undertaking such a bad business ... for in decreeing war, they would of necessity be resolving to bring down the miseries of war upon their country."[21]

Mill's position more closely mirrors contemporary modernization theorists, although he considers international economic integration as a component of domestic development. Like Lipset, Mill argues that economic development props up the middle class as a political intermediary that fosters democracy. Unlike Lipset, Mill directly considers the international aspect of economic development. To Mill, globalization's advantage "consists in a more efficient employment of the productive forces of the world," which in turn promotes democracy through the strengthening of the middle class.[22]

[20] Immanuel Kant, *Perpetual Peace: A Philosophical Sketch* (George Allen & Unwin, 1917).
[21] Ibid., 122.
[22] John Stuart Mill, *Principles of Political Economy* (D. Appleton And Company, 2017), 447.

Despite their shared positive view, Kant and Mill tell different causal stories. For Kant, globalization emerges endogenously as a feature of democracy itself, while, for Mill, globalization is an exogenous driver of democracy which shapes domestic conditions externally. Although I highlight research examining both the endogenous and exogenous variants, my work emphasizes the latter.

Cross-national studies present conflicting results when testing globalization-democracy theory empirically, in either its endogenous or exogenous variant. Eichengreen and Leblang contend that trade and capital account liberalization foster economic development, which itself creates conditions conducive to democratization.[23] Their method relies on instrumenting distance to trading partners to identify the relationship between globalization and democracy. However, they do not include country fixed effects, nor do they model democracy's persistence, and thus the 2SLS estimates should be met with skepticism. Furthermore, although they conclude that globalization and democracy reinforce each other bidirectionally, the magnitude of this effect is likely overestimated. Based on a recent meta-analysis and replication exercise by Lal et al., IV studies in observational contexts often present estimates that dwarf OLS results, suggesting a violation of the exclusion restriction.[24] Eichengreen and Leblang do test for possible violations of the exclusion restriction, but only through directly trade-related channels. Truly exogenous sources of variation are exceedingly rare in observational contexts, especially when considering countries with long and complex political histories, and thus IV estimates should be examined with a critical eye.

Freeman and Quinn similarly investigate inequality's role in the globalization-democracy relationship.[25] Unlike previous studies, they emphasize the involvement of private actors in globalization, using portfolio diversification as their primary measure of financial openness. Their basic causal story holds that elite asset diversification, as propelled by globalization, reduces elite incentives and capabilities to resist democratization. By moving capital abroad, elites have less stake in the domestic economy, since their investments are no longer centralized domestically. After conditioning on financial openness, the authors find that inequality's effect on democracy is no longer constant. In financially closed autocracies, inequality breeds further authoritarianism, but in finan-

[23] Barry Eichengreen and David Leblang, "Democracy and Globalization," *Economics and Politics* 20, no. 3 (2008): 289–334.

[24] Apoorva Lal et al., "How Much Should We Trust Instrumental Variable Estimates in Political Science? Practical Advice Based on 67 Replicated Studies," *Political Analysis* 32, no. 4 (2024): 521–540.

[25] John R. Freeman and Dennis P. Quinn, "The Economic Origins of Democracy Reconsidered," *American Political Science Review* 106, no. 1 (2012): 74.

cially open autocracies, the "elite exit" mechanism activates and the rising inequality caused by globalization actually increases prospects of democracy. My findings echo theirs, although I focus on foreign direct investment outflows rather than portfolio diversification.

Research by Kolstad and Wiig supports this argument further. Using (plausibly) exogenous within-country variation in fertile soil types as an instrument for export diversification, they find that export diversification is positively associated with democracy.[26] This finding hints that globalization's impact on democracy is not just influenced by how much a country integrates with others, but also by how a country integrates. My own research includes several indices of globalization to address this possibility.

Another strand of cross-national research finds negative effects of globalization on democracy. Li and Reuveny conduct a quantitative analysis of 127 countries from the years 1970 to 1996 and find that trade openness and portfolio investment exert a negative effect on democracy, with the effect of the former remaining constant over time and the effect of the latter strengthening over time.[27] Although their study concludes that foreign direct investment inflows positively affect democracy, this effect is small and weakens over time. Li and Reuveny hypothesize that the "growing capital mobility accompanying globalization produces a political dilemma for governments who want both economic competitiveness and democratic political accountability," and resultantly, the "footloose capital" restricts the government's ability to respond to social demands.[28] Furthermore, since the authors found that the diffusion of democratic ideals promotes democracy, they conclude that, if the economic features of globalization inhibit democracy, then there will be fewer democracies capable of diffusing their ideals to neighboring countries.[29] Methodologically, their approach emphasizes democracy's dynamic nature. They include a lagged dependent variable, but their results are inconsistent when country fixed effects are included.

Consistent with my findings, Rigobon and Rodrik report a negative effect of trade openness on democracy.[30] They explore identification through heteroscedasticity by exploiting variation in the

[26] Ivar Kolstad and Arne Wiig, "Diversification and democracy," *International Political Science Review* 39, no. 4 (2017): 551–569.

[27] Quan Li and Rafael Reuveny, "Economic Globalization and Democracy: An Empirical Analysis," *British Journal of Political Science* 33 (2003): 29–54.

[28] Ibid., 53.

[29] Ibid.

[30] Roberto Rigobon and Dani Rodrik, "Rule of Law, Democracy, Openness, and Income: Estimating the Interrelationships," *National Bureau of Economic Research*, NBER Working Papers 10750 (2004)

variance of structural shocks across several subsamples. This approach circumvents the previously mentioned difficulties in justifying the exclusion restriction under observational conditions. They too consider democracy in several forms, finding that the effect of globalization on electoral democracy is negative, while globalization's impact on rule of law is positive. My results support these conclusions, although not perfectly, as I find that trade openness has a negative association with freeness and fairness of elections, while foreign direct investment outflows are positively associated with equality before the law.

Other scholars argue that globalization tends to increase domestic inequality, which in turn leads to democratic erosion.[31] In this view, globalization benefits only a portion of the domestic population, with small-scale producers failing to compete in global markets. Because investors can move capital abroad in anticipation of rising taxes, the state keeps taxes low in efforts to deter capital flight. As a result, the government cannot compensate domestic losers, and inequality increases, which thereby inhibits democracy. A recent paper by Rau and Stokes finds a robust link between domestic inequality and democratic erosion that holds for over 100 different models.[32] If inequality obstructs democracy, and globalization increases inequality, then one should expect globalization and democracy to have a negative association. However, it is possible that financial openness intervenes in the relationship between inequality and democratization, as Freeman and Quinn suggest.[33]

Relatedly, Autor et al. use an instrumental variables strategy and find that trade-exposed districts exhibit higher levels of political polarization.[34] Polarization itself is often considered a result of inequality, further supporting the possibility of globalization's adverse effects on democracy.[35] Globalization's propensity to increase inequality would suggest an increase in polarization, and a subsequent decrease in democratic quality.

A third view holds that globalization neither promotes nor inhibits democracy. Przeworski and

[31] Dani Rodrik, *The Globalization Paradox: Democracy and the Future of the World Economy*, (W.W. Norton, 2011); Edward N. Muller, "Economic Determinants of Democracy," *American Sociological Review* 60, no. 6 (1995): 966–982.

[32] Eli G. Rau and Susan Stokes, "Income inequality and the erosion of democracy in the twenty-first century," *Proceedings of the National Academy of Sciences of the United States of America* 122, no. 1 (2025).

[33] Freeman and Quinn, "The Economic Origins of Democracy Reconsidered."

[34] David Autor et al., "Importing Political Polarization? The Electoral Consequences of Rising Trade Exposure," *American Economic Review* 110, no. 10 (2020): 3139–3183.

[35] Rau and Stokes, "Income inequality and the erosion of democracy," 5.

Meseguer argue that globalization exerts a middling effect on democracy.[36] Using game-theoretic tools, they identify that while the movement of capital across international borders affects domestic income distribution (and thereby government policy), the direction of this effect is uncertain and country-dependent. Although countries tend to imitate successful policies from other countries, the effect that this has on democracy is policy-specific. Moreover, while they suggest that trade openness may increase inequality, the permanence of this effect depends on the extent to which increased inequality induces redistribution. Last, they argue that policy formulation (whether democratic or autocratic) hinges on the domestic economic system (e.g. capitalism) rather than on any external globalization forces.

Globalization may also not affect democracy because the welfare state remains intact even when economic openness increases. Garrett, for example, argues that globalization does not unilaterally constrain national economic policy.[37] He critiques the "race to the bottom" thesis, which holds that globalization pressures countries into deregulatory, austere policy in order to remain competitive in the global market. Through a comparative and empirical analysis of OECD countries from 1960 to the mid-1990s, Garrett finds no evidence that globalization leads to the erosion of the welfare state. In his view, states open their economies willingly, with a clear expectation of sustained governmental control.

Of the outlined literature, several studies have employed a dynamic panel model approach to studying the relationship between globalization and democracy, but none places the persistence of democracy at the heart of their approach. Acemoglu et al. highlight that modeling the persistence of outcome variables is vital to satisfy sequential exogeneity and reduce serial correlation, although they make this point in the context of democracy and economic growth.[38]

Some argue that globalization's impact on democracy may vary across time. While unit-fixed effects eliminate time-invariant heterogeneity, time-varying heterogeneity requires explicit modeling. Li and Reuveny make use of a systematically time-varying parameter approach to address this issue.[39] However, their method of diagnosis is arbitrary and unreliable. By estimating their baseline

[36] Adam Przeworski and Covadonga Meseguer Yebra, "Globalization and Democracy," Conference on Globalization and Egalitarian Redistribution, Santa Fe Institute, 2002.

[37] Geoffrey Garrett, "Global Markets and National Politics: Collision Course or Virtuous Circle?" *International Organization* 52 (1999): 787–824.

[38] Daron Acemoglu et al., "Democracy Does Cause Growth," *Journal of Political Economy* 127, no. 1 (2019): 47–100.

[39] Li and Reuveny, "Economic Globalization and Democracy," 40–41.

model on decade subsets, they introduce interactions between the calendar year and the apparent time-varying variables in their complete model. The authors themselves admit that there is no compelling theoretical reason for the decade time frame. Furthermore, the criterion for the inclusion of a variable-year interaction only mandates that the sign change, even if those sign changes are statistically insignificant. Globalization and democracy may have a time-varying relationship, but, since current approaches to modeling it are unsatisfactory, I leave the investigation of that possibility to future research.

My findings do not uniformly support any one view. I find that trade openness is negatively associated with electoral freeness and fairness, while foreign direct investment outflows has a positive link to equality before the law and individual liberty. These results are further complicated when considering treatment heterogeneity. In opposition to Li and Reuveny, I find that the relationship between globalization and democracy does not hold in least developed countries (LDCs) nor in developed countries. My results show that developing countries alone appear to drive the relationship between outward foreign investment and equality before the law.

None of the aforementioned studies operationalize democracy beyond a singular aggregated measure.[40] The quality of the common democracy measures has been evaluated elsewhere, but irrespective of their quality, they all consider democracy only its most aggregated form.[41] My approach differs in that I measure democracy more granularly. Given the multifaceted nature of democracy, statistical analyses utilizing one aggregated measure of democracy may incorrectly posit causal relationships pertaining to democracy as a whole, rather than to particular facets. For instance, the allure of economic globalization may induce autocratic countries to improve the freedom, fairness, or regularity of their elections. However, these same countries may do nothing to improve basic human rights and access to civil liberties. To address this, I operationalize democracy along three dimensions, which stands in contrast to the common approach that positions an abstracted "democracy" as the sole dependent variable.[42]

I also investigate treatment heterogeneity in globalization's tie to democracy. I separately test globalization's link to democracy on subsamples of least developed countries (LDCs), develop-

[40] **Rigobon** and Rodrik do consider the World Bank's "rule of law" index, but primarily in an economic context.

[41] For a thorough discussion of the common democracy measures, see: Andrew T. Little and Meng, Anne. "Measuring Democratic Backsliding." *PS: Political Science & Politics* 57, no. 2 (2024): 149–161.

[42] The specific measures I use to operationalize democracy are discussed in the next section of this paper.

ing countries, and Organisation for Economic Co-operation and Development (OECD) countries. These distinctions are relevant given that both democracy and globalization have materialized in fundamentally different ways depending on developmental level. OECD countries tend to already resemble consolidated democracies, whereas in the LDCs, a majority of states are autocracies, and the few democracies that do exist are prone to instability and backsliding.[43] In regard to globalization, the developed countries entered the late-20th-century wave of economic integration with established infrastructure and institutions, while the less developed countries remained structurally unstable.[44] As a result, the LDCs experienced globalization primarily as recipients of policy created by the developed countries. Developing countries occupy an interesting middle ground, both politically and economically. Democratic and autocratic regimes in this group tend to be fairly young, often achieving independence following decolonization.[45] Since developing countries have a base level of movable capital, goods, and services, they may be more open to globalization, but whether this possibility promotes or hinders democracy remains to be determined.

3 Data and Descriptive Statistics

The data under study are an annual unbalanced panel of 143 countries from 1991 to 2023, for a total of 2,779 observations. The unit of analysis is the country-year. These dimensions are reflective of a *complete-cases sample*. I also exclude countries with an individual panel length of fewer than five years because the two-way fixed effects estimator requires a time horizon of at least two years, and the Arellano-Bond GMM estimator only functions with a sufficient number of lags. Dropping extremely short panels also increases the probability that the estimates for any one country represent the consequences of globalization on democracy beyond the shortest possible term. The choice of five years as the cut-off is somewhat arbitrary, but its consequence on sample size is minimal, with a loss of only 20 observations. Table 1 describes all variables included in my analysis below.

The data for the explanatory variables and economic controls come from the World Bank's

[43] Thomas Carothers and Benjamin Press, "Understanding and Responding to Global Democratic Backsliding," *Carnegie Endowment for International Peace*, Working Paper (2022): 5–6.

[44] Martin Khor, "Globalization and the South: Some Critical Issues," *United Nations Conference on Trade and Development*, Discussion Paper no. 147 (2000).

[45] Alexander Lee and Jack Paine, "What Were the Consequences of Decolonization?" *International Studies Quarterly* 63, no. 2 (2019): 406–416.

Table 1: Variable Descriptions

Variable	Description
Free Fair	The extent to which elections are free and fair, which connotes an absence of registration fraud, systematic irregularities, government intimidation of the opposition, vote buying, and election violence
Equal Law	The extent to which laws are transparent and rigorously enforced and public administration impartial, and to which citizens enjoy access to justice, secure property rights, freedom from forced labor, freedom of movement, physical integrity rights, and freedom of religion
Equal Access	The extent to which all groups should enjoy equal *de facto* capabilities to participate, to serve in positions of political power, to put issues on the agenda, and to influence policymaking
FDI Inflows	The net inflows of investment to acquire a lasting management interest (10 percent or more of voting stock) in an enterprise operating in an economy other than that of the investor, calculated as the sum of equity capital, reinvestment of earnings, other long-term capital, and short-term capital as shown in the balance of payments, expressed as percentage of GDP
FDI Outflows	The net outflows of investment to acquire a lasting management interest (10 percent or more of voting stock) in an enterprise operating in an economy other than that of the investor, calculated as the sum of equity capital, reinvestment of earnings, other long-term capital, and short-term capital as shown in the balance of payments, expressed as percentage of GDP
Trade	The sum of exports and imports of goods and services, expressed as a percentage of GDP
Tariff Rate	The average of effectively applied rates weighted by the product import shares corresponding to each partner country
GDP per capita	The total income earned through production in an economy during an accounting period, expressed in constant 2021 international dollars, converted using purchasing power parities and divided by the general population
GDP Growth	The annual growth rate of gross domestic product per capita, measured using constant 2015 U.S. dollars and expressed as the percentage change from the previous year
Inflation	The annual growth rate of the GDP implicit deflator (the ratio of GDP in current local currency to GDP in constant local currency)

World Development Indicators.[46] These indices are available for an unbalanced panel of 214 countries and territories from 1960 to 2024. Following Li and Reuveny, I include foreign direct investment (FDI) inflows and trade openness as two of my four measures of globalization.[47] Parting with their approach, I also consider FDI outflows as an explanatory variable.

FDI inflows account for the transfer of capital from abroad into the reporting economy, while

[46] World Bank, *World Development Indicators*, accessed September 16, 2025, `https://databank.worldbank.org/source/world-development-indicators`.

[47] Li and Reuveny, "Economic Globalization and Democracy."

outflows capture the flow of capital into foreign economies. FDI, in general, is a useful proxy of globalization because it captures cross-border integration of capital and firm exposure to global markets. Often, bilateral investment flows represent attempts to interweave countries' labor markets, policy decisions, and future prospects for international cooperation–(often) independent of state-level interference.[48]. That said, globalization often goes beyond just bilateral investments, which are limited to dyadic integration. This point is relevant to the scope of my analysis, as such dyadic relations are typically characterized by a wealthy country's outflow of FDI into a poorer country. Because of this, the FDI-related findings should be interpreted with caution when attempting to understand economic globalization's influence on democracy vis-à-vis two poorer countries, or when unpacking multi-country capital-intensive integration.

Trade openness proxies for globalization by capturing the extent to which an economy prioritizes the flow of goods and services. Countries more open to trade tend to participate more extensively in global production networks and international markets, making trade openness a common index of economic globalization. However, it represents only an outcome measure of globalization, ignoring the inherently policy-oriented element of economic integration. Thus, tariff rate is used as the last explanatory variable. In whole, globalization is proxied through the flow of goods and services (trade), the flow of capital (FDI inflows and outflows), and the outward-facing economic disposition of the state (tariff rate). These paint a holistic picture of *economic* globalization.

The measures of democracy come from the Varieties of Democracy (V-Dem) Institute's *V-Dem [Country-Year/Country-Date] Dataset v15*.[49] The data are available for an unbalanced panel of 202 countries and territories from 1789 to 2024. The three variables of democracy used in this paper are coded by V-Dem as *v2xel_frefair*, *v2xcl_rol*, and *v2xeg_eqaccess*.[50] They will respectively be denoted as *Free Fair*, *Equal Law*, and *Equal Access*. They are all coded on an interval scale from 0 to 1, with 1 representing a higher degree of democracy for their specific facet. As outlined in the introduction, "democracy", in its current sense, denotes more than just free and fair elections. For this reason, I choose to include three indicators of democracy—one pertaining to elections (*Free Fair*), one to civil liberties (*Equal Law*), and one to political equality (*Equal Access*). Resultantly, it should then

[48] State-owned enterprises represent an exception to this, but the overall point remains

[49] For a defense of my choice to use V-Dem indicators, see appendix A4.

[50] For full explanations of each variable's method of aggregation, see Michael Coppedge et al., "V-Dem Codebook v15," Varieties of Democracy (V-Dem) Project, 2025, sections 2.2.6, 2.2.9, and 2.2.20.

be more clear which, if any, facets of democracy are influenced by economic globalization.

These three measures, in particular, are well-suited to longitudinal analysis, a key feature of my study. Democracy's scope and definition tend to vary across time, and operationalizations of democracy must reflect such cross-temporal variation. Aristotle, for instance, conceived of democracy as "rule by the many", a "many" primarily concerned with their own interests over state interests.[51] And yet few modern scholars would conceive of democracy in such terms, instead placing focus on electoral competition, institutions, and, for some, norms. Such evolutions happen regularly, even if only minor, and a compelling understanding of democracy and democratization should account for cross-temporal changes. While such evolutions in meaning within the modern era are less dramatic than those separating ancient and contemporary political thought, the possibility of conceptual drift nonetheless remains.

V-Dem is acutely aware of this, and, their latent variable measurement model, which informs the development of the above indices, is directly designed to address cross-temporal regime comparisons.[52] Beyond measurement, my selection of the above indicators reflects a commitment to cross-temporal consistency at the conceptual level. By choosing several disaggregated indices rather than a singular abstracted measure of democracy, I avoid importing any one period's definition of "freedom" or "democracy". Rather, I rest on core, specific, relatively time-invariant institutional features: electoral contestation (*FreeFair*), civil liberties and rule-of-law (*EqualLaw*), and political inclusion and equality of access (*EqualAccess*). The more abstract a concept, the greater the probability that its meaning may change as it becomes embedded in new contexts, times, and locations.[53] My granularization of democracy seeks to mitigate this possibility.

To control for factors that jointly affect globalization and democracy, I include three plausibly confounding economic covariates, heeding Li and Reuveny.[54] They are the log of GDP per capita (PPP, constant 2021 international $), the annual growth rate of GDP per capita expressed as a percentage, and inflation measured as the annual growth rate of the GDP deflator.[55] Table 2

[51] Aristotle, *Politics* (Harvard University Press, 1932)

[52] Daniel Pemstein et al., "The V-Dem Measurement Model: Latent Variable Analysis for Cross-National and Cross-Temporal Expert-Coded Data," *Varieties of Democracy Institute*, V-Dem Working Paper 21 (2025).

[53] Giovanni Sartori, "Concept Misformation in Comparative Politics," *American Political Science Review* 64, no. 4 (1970): 1033-1053.

[54] Li and Reuveny, "Economic Globalization and Democracy."

[55] The material implications of economic globalization are often intertwined with those of domestic economic conditions, as are the implications of domestic economic conditions and democracy. Thus, I consider the state of the domestic economy a plausible confounder and include three variables to control for it here. For a seminal

displays the descriptive statistics for the main variables used in my analysis.

Table 2: Descriptive Statistics

Statistic	Observations	Mean	Standard Deviation	Minimum	Maximum
Free Fair	10,511	0.44	0.35	0.00	0.98
Equal Law	10,511	0.55	0.26	0.01	0.98
Equal Access	10,511	0.58	0.30	0.00	0.99
FDI Inflows	8,110	3.65	17.30	−444.71	452.22
FDI Outflows	6,427	2.03	18.14	−382.69	453.16
Trade	8,096	74.61	50.92	0.02	442.62
Tariff Rate	3,438	6.92	10.09	0.00	421.50
GDP per capita	5,764	20,037.74	22,514.70	510.82	145,591.00
GDP Growth	9,408	1.97	6.46	−64.42	140.49
Inflation	9,383	33.64	424.04	−98.70	26,765.86

Notes: This table presents the descriptive statistics of my variables over the period 1960 to 2024. Statistics are computed over all available observations for each variable. Democracy data are from the Varieties of Democracy (V-Dem) Institute's Dataset v15. Data for the globalization and control variables come from the World Bank's World Development Indicators.

4 Empirical Framework

4.1 Estimation Strategy

The baseline strategy to estimate the relationship between globalization and democracy is a dynamic linear panel model with two-way fixed effects:

$$y_{it} = \mathbf{d}'_{i,t-1}\boldsymbol{\beta} + \sum_{j=1}^{p} \Upsilon_j y_{i,t-j} + \mathbf{x}'_{i,t-1}\boldsymbol{\alpha} + \mu_i + \lambda_t + u_{it} \tag{1}$$

where y_{it} is the democracy score of country i in year t. $\mathbf{d}'_{i,t-1}$ denotes a vector of the four globalization variables lagged by one year, while $\mathbf{x}'_{i,t-1}$ is a vector of the three economic control variables lagged by one year. $\sum_{j=1}^{p} y_{i,t-j}$ represents p lags of the given democracy score, intended to capture serial correlation, properly model the persistence of democracy, and account for reversion to the

work on development and democracy, see: Seymour Martin Lipset, "Some Social Requisites of Democracy: Economic Development and Political Legitimacy," *American Political Science Review* 53, no. 1 (1959): 69–105. In regard to the relationship between growth and democracy, see: Charles Kurzman et al., "Democracy's effect on economic growth: A pooled time-series analysis, 1951-1980," *St Comp Int Dev* 37 (2002): 3–33; Mark J. Gasiorowski, "Economic Crisis and Political Regime Change: An Event History Analysis," *American Political Science Review* 89, no. 4 (1995): 882–897; Uk Heo and Alexander C. Tan, "Democracy and Economic Growth: A Causal Analysis," *Comparative Politics* 33, no. 4 (2001): 463–473. Finally, for work on inflation and democracy, see: Mark J. Gasiorowski, "Economic Crisis and Political Regime Change," 882–897.

mean. The μ_i terms indicate a full set of country fixed effects, capturing time-invariant heterogeneity across units, and λ_t denotes a full set of time fixed effects, accounting for unit-invariant shocks common to all countries in a given year. Finally, u_{it} is the idiosyncratic error term, which captures all omitted factors influencing y_{it}.

The empirical strategy as delineated here is non-causal. My approach cannot rule out all possible sources of endogeneity, and I do not purport that it does. However, my analysis does go beyond mere correlation, attempting to eliminate the most obvious and pernicious sources of endogeneity. In this way, the findings reported in this paper represent a step toward a causal picture of economic globalization and democracy. The effect of interest can thus be conceived as globalization's (almost certainly non-causal) influence on democracy, conditional on TWFE, past democracy, and economic covariates. Throughout, I limit the extent to which my language may be perceived as causal, but, at times, it remains impossible to discuss the relationship of interest without invoking vaguely "causal" language. In such cases, I advise the reader to assume such discussions are non-causal.

The fixed effects soak up heterogeneity within units over time and within time periods across units. Many factors that potentially influence globalization and democracy are historical and country-specific, which makes them troubling to capture in regression analysis as control variables. By examining variation solely within a country, the historical, intangible factors that may be influencing democracy are held constant. To extend an example from Acemoglu and colleagues, consider a comparison between the United States and Colombia.[56] The United States is both more globalized and more democratic than Colombia, which prima facie would suggest a positive relationship between economic globalization and democracy. However, it may be the case that, as the United States becomes more globalized in relation to its past state, its level of democracy plummets. This would indicate, at least in the case of the United States, that globalization negatively impacts democracy. However, as long as both the US's level of globalization and level of democracy remain higher than that of Colombia, standard OLS would continue to suggest that more globalization means more democracy. Fixed effects controls for this "within-unit" variation to address this source of error.

My model resembles that of Acemoglu et al. in structure, including p lags of the outcome

[56] Daron Acemoglu et al., "Income and Democracy," *American Economic Review* 98, no. 3 (2008): 810.

variable in order to satisfy sequential exogeneity and reduce serial correlation in the error term.[57] Political regimes, especially democracies, are often slow to change over time. Due to this fact, statistical analysis pertaining to the causes of democracy incurs the risk of producing false positives, due to democracy's inertial effect on itself. In other words, an independent variable may appear to have an effect on democracy, when in reality that effect is caused by democracy's tendency to sustain itself. In practice, however, the number of lags differs substantially between the model presented by Acemoglu et al. and my own. They model GDP per capita as a function of democracy, and, in their preferred specification, include four lags of GDP. By contrast, I model democracy as a function of globalization. In my preferred specifications, I include only two lags of democracy.

Globalization studies tend to include at most one lag of democracy and do not systematically and statistically test for democracy's persistence beyond a year. However, diagnosing the extent of persistence is essential to avoid serious violations of statistical model assumptions. Burkhart and Lewis-Beck effectively frame the dynamic nature of democracy in a political context, writing, "The other social forces acting on democracy are uncertain (and perhaps unmeasurable across the pool). However, to the extent they are structural processes (e.g., public control of the economy, Protestant population, historical events), they will be essentially summarized in the democratic performance of the nation during its previous year. In other words, [the lag of democracy] acts to control for omitted independent variables."[58] The lagged dependent variable has also been shown to help with serial correlation and endogeneity spurred on by reverse causality or simultaneity bias.[59] As Li and Reuveny note, though, this inclusion "might soak up the variations in the dependent variable that could be explained by other independent variables."[60] The lagged dependent variable may inflate standard errors and reduce coefficients of the explanatory variables, leading to fewer statistically significant results. In other words, my estimation approach is conservative.

On face validity, any statistical association between globalization and democracyz likely does not appear immediately. For macroscopic phenomena, the effects may take longer than expected to materialize. For this reason, all independent variables are lagged by one year, as is a com-

[57] Daron Acemoglu et al., "Democracy Does Cause Growth."

[58] Burkhart and Lewis-Beck. "Comparative Democracy," 905.

[59] Lars Leszcensky and Tobias Wolbring, "How to Deal With Reverse Causality Using Panel Data? Recommendations for Researchers Based on a Simulation Study," *Sociological Methods & Research* 51, no. 2 (2022): 837–865.

[60] Li and Reuveny, "Economic Globalization and Democracy," 40.

mon practice in studies utilizing regression analysis to examine shifts in democracy.[61] Lagging the independent variables also offers the benefit of addressing simultaneity bias and reverse causality endogeneity. Since it may be argued that globalization and democracy influence each other bidirectionally, or that democracy actually drives globalization, lagging the independent variables establishes globalization as temporally prior to democracy.

The typical assumptions of homoscedasticity and no serial correlation are addressed simultaneously through the implementation of robust standard errors clustered by country. Serial correlation is further addressed by the lagged dependent variables.[62]

Dynamic TWFE models are known to suffer from a bias inversely proportional to the time horizon of the sample.[63] In my case, the time horizon of 35 years should be sufficient so as to render this bias insignificant, but as a robustness check, I estimate the same specifications using the Arellano-Bond generalized methods of moments (GMM) estimator.

4.2 Identification Strategy

The dynamic panel model approach hinges on several assumptions to ensure robust analysis. The most important is *sequential exogeneity*, defined formally for my model equation as:

$$E(u_{it} \mid y_{i,t-1}, \ldots, y_{i,t-p}, \mathbf{d}_{i,t-1}, \mathbf{x}_{i,t-1}, \mu_i, \lambda_t) = 0 \quad \text{for } t = 1, 2, \ldots, T, \tag{2}$$

where T represents the length of my panel.[64] This implies that the error term cannot be correlated with past and current values of the regressors but can be correlated with future values. As an example in a political context, consider institutional quality as the dependent variable. Sequential exogeneity maintains that institutional quality may be affected by unobserved shocks in the future, but not by past or present shocks. Econometrically, the main implication of this assumption is that proper inference relies on including enough lags of the dependent variable, in order to model past and current shocks and to mitigate serial correlation.

[61] See: John R. Oneal and Bruce M. Russett. "The Classical Liberals Were Right: Democracy, Interdependence, and Conflict, 1950-1985," *International Studies Quarterly* 41, no. 2 (1997): 267–293; Edward N. Muller and Mitchell A. Seligson. "Civic Culture and Democracy: The Question of Causal Relationships," *The American Political Science Review* 88, no. 3 (1994): 635–652; Li and Reuveny, "Economic Globalization and Democracy," 40.

[62] Beck and Katz, "Nuisance vs. Substance," 1-36.

[63] Stephen Nickell, "Biases in Dynamic Models with Fixed Effects," *Econometrica* 49, no. 6 (1981): 1417–1426.

[64] Jeffrey M. Wooldridge, *Econometric Analysis of Cross Section and Panel Data* (MIT Press, 2001), 299.

There are also relevant assumptions regarding endogeneity. For unbiased estimates, the model must not omit any relevant confounders. The fixed effects and specified controls should ease, though not eliminate, this concern. A "bad control" problem is unlikely here. While democracy likely influences domestic economic conditions, it is unlikely that globalization exerts a similar effect, at least as modeled here. In one sense, globalization and democracy co-determine domestic economic conditions, particularly in regard to inequality. For that reason, I do not include any measure of inequality here to avoid collision on the causal path. Conversely, GDP per capita, GDP growth, and inflation are joint contributors to globalization and democracy.[65] Nevertheless, I examine the possibility of collider bias in the robustness section.

The direction of causality must also be properly specified. If democracy is influencing globalization, or if they influence each other simultaneously, then the model may improperly posit the causal direction. Lagging the independent variables reduces the probability of reverse causality or simultaneity bias, but it is indeed only a partial solution. Contemporaneous shocks may affect both globalization and democracy. The ideal situation would hinge on an instrumental-variables setup, wherein an exogenous source of variation could be exploited to isolate the effect of globalization on democracy. Because of time and resource constraints, I leave that approach to future research.

Last, there is the ever-present possibility of measurement error. This is an extremely common issue in democracy studies because (continuous) democracy indices hinge on expert-level judgments. The differences in ratings across democracy indices should make clear that measurement is not a straightforward issue here.[66] As democracy measures become more and more aggregated, this issue is pushed further up the ladder. My granularization of democracy substantially circumvents these issues, but the problem of measurement is common to all studies of this nature.

Panel models also assume that the means, variances, and covariances of variables are stationary over time. The presence of a unit root may induce concomitant random walks among the independent and dependent variables, which *prima facie* would suggest correlation. Those correlations, however, are spurious and must not be interpreted as causal. To assess the possibility of a unit root, I run three unit root tests, all of which allow for unbalanced panels.[67] For all explanatory

[65] Li and Reuveny, "Economic Globalization and Democracy."

[66] See: Little and Meng, "Measuring Democratic Backsliding."

[67] The three tests are: G.S. Maddala and Shaowen Wu, "A Comparative Study of Unit Root Tests with Panel Data and a New Simple Test," *Oxford Bulletin of Economics and Statistics* 61 (1999): 631–652; In Choi, "Unit root tests for panel data," *Journal of International Money and Finance* 20, no. 2 (2001): 249–272; Kyung So Im et al.,

variables and outcome variables, the presence of a unit root is strongly rejected. In plain English, the values of my variables do not permanently shift in reaction to random, unobserved shocks.

For transparency's sake, I will note the stable unit treatment value assumption (SUTVA) is likely violated in some capacity here. Once again, this is a problem common to most, if not all, studies of this issue. Applied to my context, SUTVA holds that a country's exposure to globalization does not affect other countries' propensity to democratize. In international political economy studies, this assumption remains extremely hard to satisfy, as economic integration almost certainly induces regional contagion among neighboring countries. SUTVA also maintains that the nature of the treatment (globalization) is uniform across units. A violation of this aspect of SUTVA would be strange. The treatment should have a similar nature across units. A violation would be more common in an experiment, wherein subjects can perceive the treatment in heterogeneous ways.

Regardless, I consider my approach reasonable in comparison to other literature on the topic. Assuming parallel trends and properly modelled dynamics of democracy, a dynamic TWFE model should produce reliable estimates (provided Nickell bias is small). Democracy is undoubtedly a persistent phenomenon, and modeling such persistence remains essential to avoid a violation of sequential exogeneity. The key identifying assumption of my approach is that, conditional on TWFE, controls, and sufficient lags of democracy, the remaining variation in globalization resembles random assignment of treatment. Future research could investigate ways around SUTVA violations, or methods of modeling time-variant heterogeneity.

5 Results and Discussion

Among the four economic globalization variables under study, only trade openness and foreign direct investment outflows have statistically significant associations with democracy. The nature of these relationships conflicts. My analysis finds a negative link between *Trade* and *Free Fair* and a positive link between *FDI Outflows* and *Equal Law*. Foreign direct investment inflows and tariff rates were insignificant predictors of democracy. Furthermore, no globalization variable had any statistically significant relationship with *Equal Access*. Figure 3 displays the standardized coefficients of the four globalization variables on *Free Fair* and *Equal Law*.

"Testing for unit roots in heterogeneous panels," *Journal of Econometrics* 115, no. 1 (2003): 53–74.

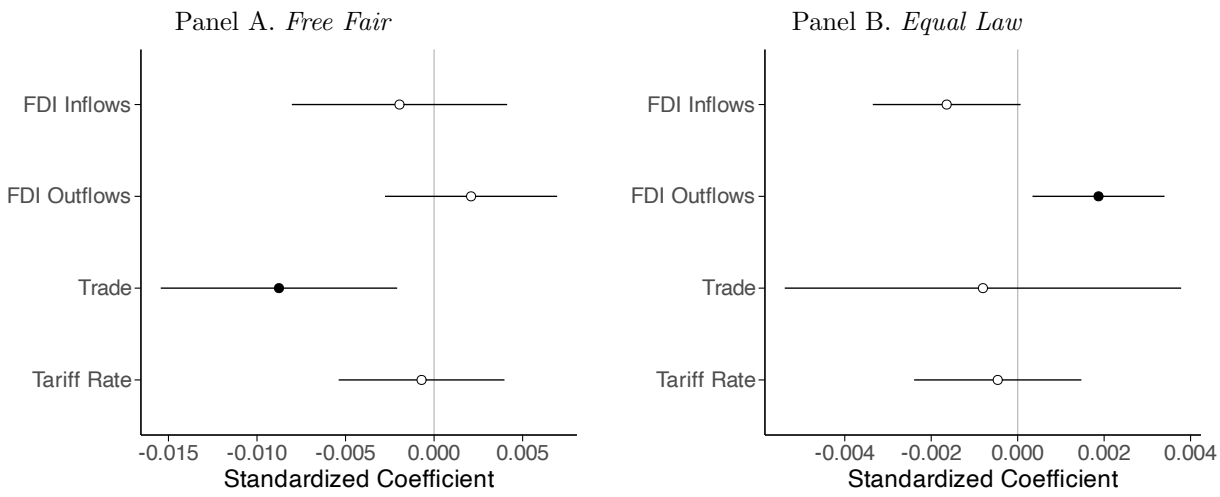


FIG. 3. Coefficient plots displaying standardized estimates of globalization on democracy. Solid points indicate statistical significance at the five-percent level. Estimates are presented with 95-percent confidence intervals with robust standard errors clustered at the country level. Panel A displays estimates for *Free Fair*, and Panel B displays estimates for *Equal Law*, both of which use my preferred specifications from Table 3.

For a more concrete sense of the results, Table 3 presents the primary estimates across all three dependent variables. Recall that all coefficients and standard errors are multiplied by 100 (except for the lagged dependent variables); under this transformation, the coefficients represent percentage-point changes in the outcome variable. Columns 1-4 display results for globalization's relationship with *Free Fair* under different estimators and lag specifications, while columns 5-8 and 9-12 do the same for *Equal Law* and *Equal Access* respectively. To assess model specification (i.e. a sufficient number of lags), I include p-values from Wooldridge's test for serial correlation for the TWFE models (columns 1-2, 5-6, and 9-10) and p-values from the Arellano and Bond AR2 test for second-order serial correlation for the GMM models (columns 3-4, 7-8, and 11-12).[68] In all cases, the one-lag models reject the null of no serial correlation and the two-lag models do not reject it. Furthermore, in all columns with two lags, the first lag is positive (and typically strongly significant) while the second is negative (and also typically significant). This supports democracy's tendency to revert to the mean. Columns 2, 6, and 10 are my preferred specifications for each dependent variable, each estimated with TWFE and including two lags of democracy. These columns present

[68] Wooldridge, *Econometric Analysis of Cross Section and Panel Data*, 275–276; Manuel Arellano and Stephen Bond, "Some Tests of Specification for Panel Data: Monte Carlo Evidence and an Application to Employment Equations," *The Review of Economic Studies* 58, no. 2 (1991): 277–297.

both the most precise and unbiased estimates of those in Table 3.

In column 2, *Trade* has a significant negative link to democracy with a coefficient of -0.016 (standard error = 0.006). This indicates that as trade openness increases by one percentage point of GDP, *Free Fair* is expected to decrease by roughly 0.016 percentage points *ceteris paribus*. Given that my preferred specification employs two lags, the statistical long-run effect of trade openness on *Free Fair* can be calculated as

$$\frac{\hat{\beta}}{1-(\hat{y_1}+\hat{y_2})} \tag{3}$$

where $\hat{\beta}$ represents the parameter estimate for *Trade* while $\hat{y_1}$ and $\hat{y_2}$ are the parameter coefficients on the first and second lags of *Free Fair* respectively.[69] As in Acemoglu et al., I apply this formula to the estimates from my preferred specification to get the permanent long-run effect. Applied to column 2, the permanent long-run effect is -0.091.

[69] The globalization coefficients must be unscaled by 100 prior to this calculation. After applying the calculation, I re-multiply the result by 100.

Table 3: Pooled Analysis of Globalization's Effect on Democracy

	Dependent Variable											
	Free Fair				Equal Law				Equal Access			
	TWFE		Arellano-Bond		TWFE		Arellano-Bond		TWFE		Arellano-Bond	
	(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)	(9)	(10)	(11)	(12)
FDI Inflows	−0.009	−0.008	0.003	0.003	−0.006*	−0.006*	−0.003	−0.003	−0.008	−0.007	−0.002	−0.002
	(0.013)	(0.012)	(0.003)	(0.003)	(0.004)	(0.003)	(0.002)	(0.002)	(0.005)	(0.005)	(0.003)	(0.003)
FDI Outflows	0.010	0.009	−0.002	−0.003	0.008**	0.008**	0.004	0.003*	0.008*	0.007*	0.002	0.001
	(0.011)	(0.010)	(0.003)	(0.003)	(0.003)	(0.003)	(0.002)	(0.002)	(0.004)	(0.004)	(0.005)	(0.005)
Trade	−0.016**	−0.016**	−0.025	−0.031*	−0.001	−0.001	0.017	0.015	0.002	0.002	0.013	0.012
	(0.007)	(0.006)	(0.017)	(0.018)	(0.005)	(0.004)	(0.015)	(0.014)	(0.005)	(0.005)	(0.009)	(0.009)
Tariff Rate	−0.006	−0.013	−0.058	−0.069	−0.006	−0.008	−0.056	−0.059	−0.012	−0.013	−0.021	−0.022
	(0.043)	(0.043)	(0.057)	(0.059)	(0.017)	(0.018)	(0.039)	(0.039)	(0.023)	(0.024)	(0.030)	(0.030)
Lag 1	0.85***	0.96***	0.08*	0.08*	0.9***	1.01***	0.13***	0.14***	0.85***	0.9***	0	-0.01
	(0.02)	(0.05)	(0.05)	(0.05)	(0.02)	(0.03)	(0.03)	(0.03)	(0.03)	(0.04)	(0.04)	(0.04)
Lag 2		-0.13***		-0.14***		-0.13***		-0.07***		-0.06		-0.04*
		(0.03)		(0.04)		(0.02)		(0.03)		(0.04)		(0.03)
Wooldridge/AR2 test p-value	0.008	0.81	0.011	0.122	0	0.695	0.053	0.927	0.339	0.941	0.052	0.814
Observations	2,779	2,779	2,380	2,380	2,779	2,779	2,380	2,380	2,779	2,779	2,380	2,380

Notes: $^{*}p < 0.1$; $^{**}p < 0.05$; $^{***}p < 0.01$. Robust standard errors clustered at the country level are reported in parentheses below their corresponding point estimates. The globalization variable coefficients and their standard errors are multiplied by 100 for interpretation and viewing. The lag coefficients are left at the standard scale for ease of display. Columns 1-2, 5-6, and 9-10 report results from the standard two-way fixed effects estimation on *Free Fair*, *Equal Law* and *Equal Access* respectively. Columns 3-4, 7-8, and 11-12 report results from the Arellano-Bond generalized methods of moments estimator for each dependent variable. All models include economic controls, country fixed effects, and year fixed effects. The Wooldridge/AR2 row reports p-values for Wooldridge's test for serial correlation for the standard TWFE models and p-values for the AR2 test for second-order serial correlation for the GMM models.

In reality, *Trade* rarely shifts by only one percentage point of GDP in a given year. Calculated from the estimation sample for column 2, the within-country standard deviation of *Trade* from year to year is 12.891 percentage points of GDP. Thus, for every (yearly) within-country standard deviation increase in *Trade*, *Free Fair* is expected to decrease by 0.206 percentage points annually and 1.173 percentage points in the long run, holding all other factors constant. Figure 4 plots the expected impact of this shock on the freeness and fairness of elections over a 30-year time horizon. By year 30, it is clear that the long-term permanent effect of the shock is almost fully realized, with an estimate of −1.169.

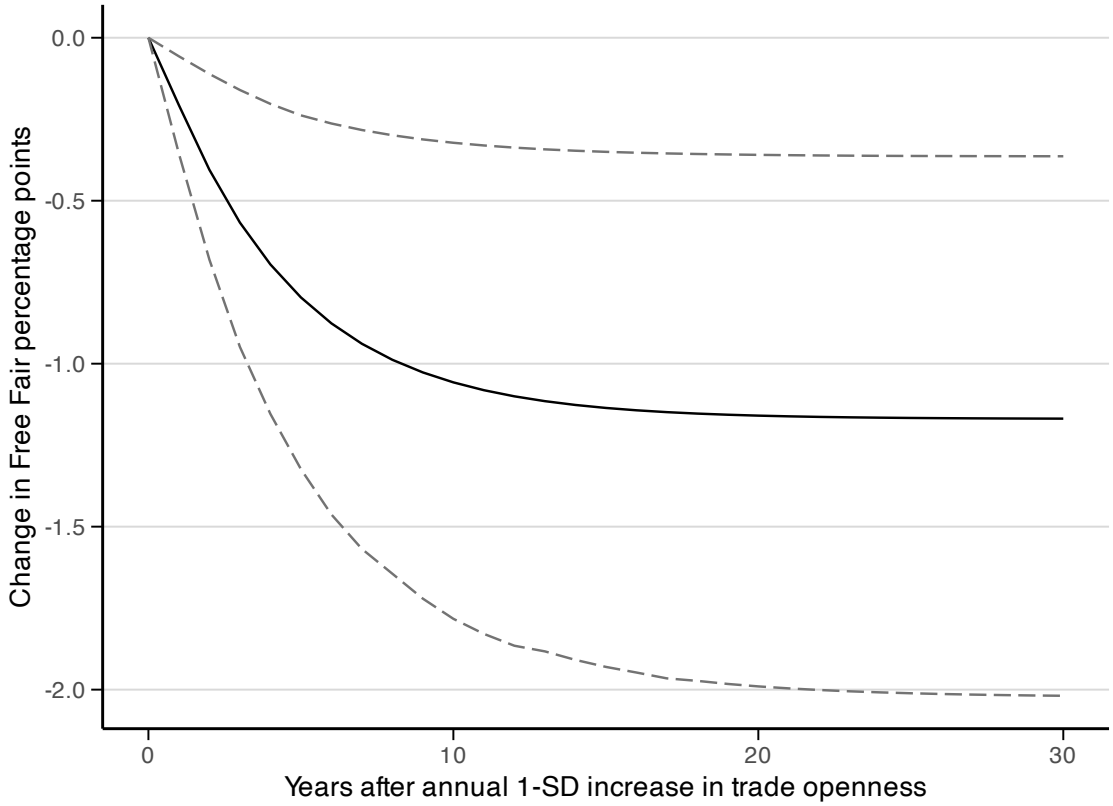


FIG. 4. Dynamic simulation of trade openness's long-run effect on freeness and fairness of elections. This figure plots the dynamic effect of a permanent one-standard deviation annual increase in trade openness. The solid line shows the expected trajectory over a 30-year time horizon, obtained by recursively applying the model estimated in column 2 of Table 3. Dashed lines indicate 95 percent confidence intervals constructed by a parametric bootstrap of 1,000 draws from the estimated variance-covariance matrix. Estimates are scaled into percentage points by multiplying coefficients by 100.

Column 4 reports the Arellano-Bond GMM estimates with two lags of *Free Fair*; the results are very similar to the TWFE estimates in column 2. Here, the coefficient on *Trade* is −0.031,

approximately two times larger in absolute value than column 2's estimates, although three times less precise (standard error = 0.018). Columns 1 and 3 include a single lag of *Free Fair*. In both columns, the magnitude of the relationship is similar to the estimates reported in columns 2 and 4, but only the former is statistically significant (p-value = 0.016) and both suffer from serial correlation evidenced by the Wooldridge/AR2 p-values.

Moving to the *Equal Law* findings, column 6, my preferred specification, reports that *FDI Outflows* positively impact equality before the law and civil liberties. Just as with *Trade* and *Free Fair*, the effect size is small but consistent across the majority of estimations. The coefficient on *FDI Outflows* is 0.008 (standard error = 0.003) and statistically significant (p-value = 0.016). The long-run effect of a permanent 1-unit increase in *FDI Outflows* is 0.071. Just as with trade openness, outward foreign investment tends to deviate by more than one percentage point from year-to-year, although less so than *Trade*. The within-country annual standard deviation is 4.568 percentage points, and the corresponding long-run coefficient is 0.324. In Figure 5, I present a dynamic simulation depicting *Equal Law*'s response to a one-standard deviation annual increase in FDI outflows. Once again, the effect size by year 30 closely mirrors that of the permanent long-run estimate.

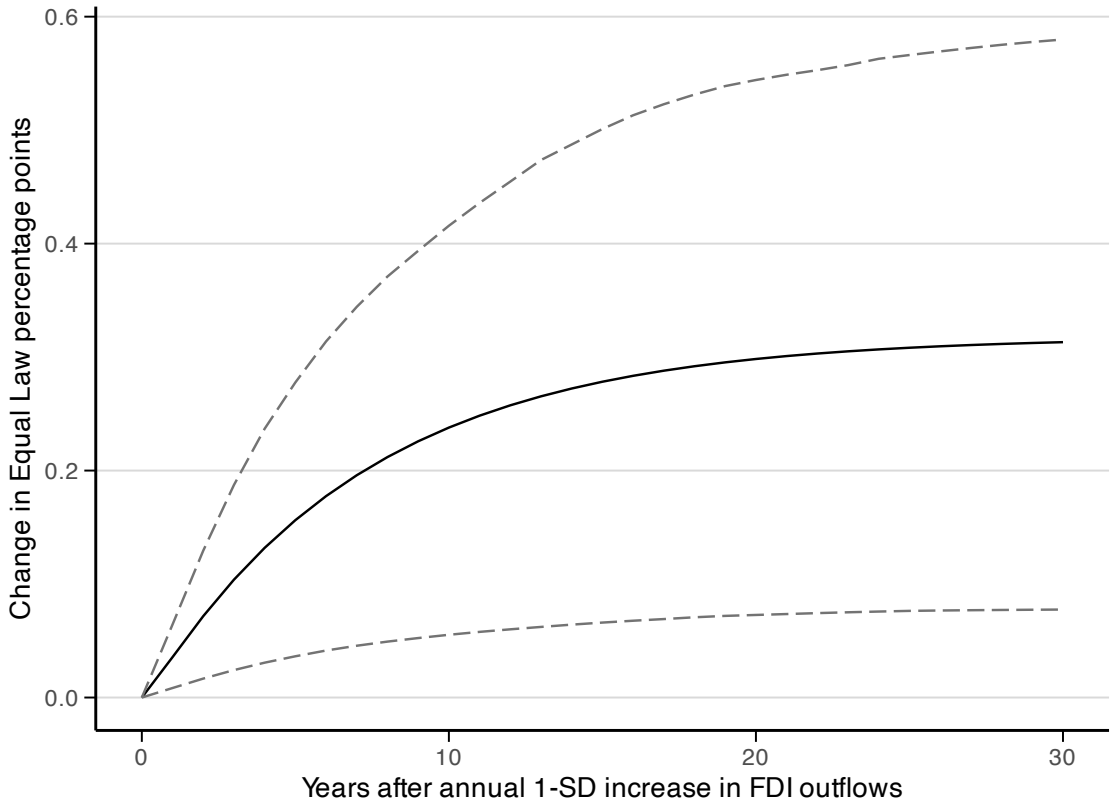


FIG. 5. Dynamic simulation of foreign direct investment outflows's long-run effect on equality before the law and individual liberty. This figure plots the dynamic effect of a permanent one-standard deviation annual increase in FDI outflows. The solid line shows the expected trajectory over a 30-year time horizon, obtained by recursively applying the model estimated in column 6 of Table 3. Dashed lines indicate 95 percent confidence intervals constructed by a parametric bootstrap of $1,000$ draws from the estimated variance-covariance matrix. Estimates are scaled into percentage points by multiplying coefficients by 100.

Columns 5 and 8 report similar results to column 6, while the specification in column 7 finds no statistically significant effect of *FDI Outflows* on *Equal Law*. *FDI Inflows* achieves marginal statistical significance in the TWFE models in columns 5-6, but the negative effect is so small, imprecise, and sensitive to estimation method as to render it practically insignificant.

Columns 9-12 report estimates with *Equal Access* as the outcome variable. In all relevant columns. no variable produces a strongly significant effect. *FDI Outflows* reaches significance at the ten-percent levels, but imprecisely and only for the TWFE models. I consider all results in columns 9-12 null. The estimates are imprecise and small, and the significant effect of *FDI Outflows* on *Equal Access* is not supported by either GMM model. *Tariff Rate* has no significant link with any dependent variable in any model.

From the main analysis in Table 3, two findings stand clear: **1) trade openness is empirically linked to decreased freeness and fairness of elections, and 2) outward foreign investment has a positive association with equality before the law and civil liberties.** In the next section, I examine the robustness of these results. Then, I investigate possible treatment heterogeneity under differing levels of development, testing my preferred specifications on subsets of LDCs, developing countries, and OECD countries. Last, I discuss mechanisms that offer explanations reconciling the empirical results with theory and practice.

5.1 Robustness

The results presented thus far may be sensitive to a number of factors. In this section, I investigate systematically the sensitivity of my findings. The most probable threats to my results come from improperly specified controls and outliers. Thus, I focus on these. Future research ought to test the robustness of my findings to time-varying indices and alternative GMM estimators.

In any empirical study, there always remains a possibility of "bad control", wherein the researcher incorrectly controls for a variable assumed to be a confounder that is, in fact, a collider. Consider the directed acyclic graph below.

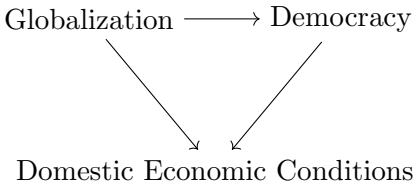


FIG. 6. Directed Acyclic Graph, Collider Bias

If domestic economic conditions are jointly determined by globalization and democracy, then conditioning on this collider opens a spurious path between globalization and democracy. In Table 4, I examine this possibility by re-running the models in Table 3 without the economic controls. The results in Table 4 are qualitatively similar to those presented in Table 3. The most significant relationships remain those of *Trade* with *Free Fair* and *FDI Outflows* with *Equal Law*. Just as in Table 3, the two-way fixed effects estimators find a link between both foreign direct investment inflows and outflows and *Equal Law* and *Equal Access*, but only marginally.

Non-economic factors may also jointly influence globalization and democracy. To address this

possible source of omitted variable bias, I include the log of population size and the annual population growth rate as controls. The results here remain largely unaffected by the inclusion of these two demographic variables, resembling those in Table 3. The demographic variables are inconsistently significant and do not seem to be strong predictors of globalization, nor do they meaningfully alter the core takeaways from Tables 3 and 4. The appendix contains the full regression table for this robustness check.

To understand if my results are caused by outliers, I estimate my preferred specifications from Table 3 under two new conditions.[70] In the first, I exclude observations with a standardized residual above an absolute value of 1.96. In the second, I remove high-leverage observations by dropping those with a Cook's distance above four divided by the number of observations. *FDI Outflows* remains a significant positive predictor of *Equal Law* under both sample modifications. *Trade*, however, loses significance when outliers and high-leverage observations are removed, indicating that, to some degree, the pooled results are influenced by outliers. Its sign on *Free Fair* is still negative and similar in magnitude in both cases, however. The appendix reports the full regression table for this robustness check.

Last, economic globalization may evolve gradually within countries in temporal conjunction with institutional changes. If so, the estimated coefficients would reflect correlated long-run trends rather than a genuine relationship. To address this concern, I estimate my preferred specifications from Table 3 with the inclusion of country-specific linear trends, as well as under a first-differenced specification. Table A3 in the appendix contains the results of this exercise. In all, the findings are almost entirely null. The estimates of this approach should still be interpreted cautiously, however. Country-specific trends absorb any linear within-country variation, which risks removing the signal of interest if globalization's effects on democracy operate gradually. The first-difference estimator is generally less preferred than fixed effects, as it amplifies measurement error in is less statistically efficient than the within estimator when errors are serially uncorrelated.[71]

[70] These two conditions are the same as in: Acemoglu et al., "Democracy Does Cause Growth."

[71] To see the efficiency issue, consider a simplified version of equation (1): $y_{it} = \mathbf{d}'_{i,t-1}\boldsymbol{\beta} + \mu_i + u_{it}$. The first difference estimator can be written as $\Delta y_{it} = \Delta \mathbf{d}'_{it-1}\boldsymbol{\beta} + \Delta u_{it}$, where $\Delta u_{it} = u_{it} - u_{it-1}$. If the idiosyncratic errors are serially uncorrelated with variance σ^2, then $\text{Var}(\Delta u_{it}) = \text{Var}(u_{it}) + \text{Var}(u_{it-1}) = 2\sigma^2$. Thus the differenced error term has twice the variance of the original error. By contrast, the fixed-effects estimator has error $\tilde{u}_{it} = u_{it} - \bar{u}_i$, where $\bar{u}_i$ is the average error over the time dimension. With no serial correlation and error variance σ^2, $\text{Var}(\tilde{u}_{it}) = \text{Var}(u_{it} - u_i) = \sigma^2(1 - \frac{1}{T})$. When $T > 1$, this error is less than $2\sigma^2$. Indeed, $T > 1$ and diagnostics indicate no serial correlation, and thus the TWFE estimator should be preferred inferentially.

Table 4: Pooled Analysis of Globalization's Effect on Democracy, No Controls

	Dependent Variable											
	Free Fair				Equal Law				Equal Access			
	TWFE		Arellano-Bond		TWFE		Arellano-Bond		TWFE		Arellano-Bond	
	(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)	(9)	(10)	(11)	(12)
FDI Inflows	−0.008	−0.007	0.003	0.004	−0.006*	−0.006*	−0.003	−0.003	−0.007	−0.007	−0.003	−0.003
	(0.013)	(0.012)	(0.003)	(0.003)	(0.004)	(0.003)	(0.002)	(0.002)	(0.005)	(0.005)	(0.004)	(0.004)
FDI Outflows	0.009	0.008	−0.002	−0.003	0.007**	0.008**	0.004	0.004	0.007*	0.007*	0.002	0.002
	(0.011)	(0.010)	(0.003)	(0.003)	(0.003)	(0.003)	(0.002)	(0.002)	(0.004)	(0.004)	(0.005)	(0.005)
Trade	−0.014**	−0.014***	−0.025	−0.030*	−0.001	−0.002	0.020	0.018	0.003	0.002	0.015	0.014
	(0.006)	(0.005)	(0.018)	(0.018)	(0.004)	(0.004)	(0.014)	(0.014)	(0.005)	(0.005)	(0.009)	(0.009)
Tariff Rate	0.011	0.005	−0.057	−0.068	0.007	0.003	−0.054	−0.057	0.001	0.0005	−0.017	−0.018
	(0.036)	(0.036)	(0.056)	(0.057)	(0.015)	(0.016)	(0.039)	(0.039)	(0.021)	(0.022)	(0.029)	(0.029)
Lag 1	0.86***	0.97***	0.08*	0.09*	0.91***	1.02***	0.13***	0.14***	0.86***	0.91***	0	0
	(0.02)	(0.04)	(0.05)	(0.05)	(0.02)	(0.03)	(0.03)	(0.03)	(0.02)	(0.04)	(0.04)	(0.04)
Lag 2		-0.13***		-0.13***		-0.13***		-0.07***		-0.06*		-0.05*
		(0.03)		(0.04)		(0.02)		(0.03)		(0.04)		(0.03)
Wooldridge/AR2 test p-value	0.011	0.854	0.011	0.1	0	0.66	0.063	0.895	0.354	0.975	0.05	0.844
Observations	2828	2828	2411	2411	2828	2828	2411	2411	2828	2828	2411	2411

Notes: $^{*}p < 0.1$; $^{**}p < 0.05$; $^{***}p < 0.01$. Robust standard errors clustered at the country level are reported in parentheses below their corresponding point estimates. The globalization variable coefficients and their standard errors are multiplied by 100 for interpretation and viewing. The lag coefficients are left at the standard scale for ease of display. Columns 1-2, 5-6, and 9-10 report results from the standard two-way fixed effects estimation on *Free Fair*, *Equal Law* and *Equal Access* respectively. Columns 3-4, 7-8, and 11-12 report results from the Arellano-Bond generalized methods of moments estimator for each dependent variable. All models include country and year fixed effects. The Wooldridge/AR2 row reports p-values for Wooldridge's test for serial correlation for the standard TWFE models and p-values for the AR2 test for second-order serial correlation for the GMM models.

5.2 Treatment Heterogeneity

As stated in the literature review, a country's level of development may affect how globalization affects democracy. I examine this possibility here. For the developmental axis of heterogeneity, I estimate my preferred specifications from Table 3 (columns 2, 6, and 10) on relevant subsets: 1) least developed countries (LDCs), 2) "developing" countries, and 3) countries in the Organization for Economic Co-operation and Development (OECD). The list of LDCs comes from the United Nations Conference on Trade and Development, while the list of OECD countries predictably comes from the OECD's website.[72] Any country not in either of these categories is coded as "developing". These categorizations go beyond wealth, considering human capital, infrastructure, and socioeconomic factors.

The results from this exercise suggest two main points: 1) development does not moderate the relationship between *Trade* and *Free Fair*; 2) the significant positive relationship between *FDI Outflows* and *Equal Law* is almost entirely driven by developing countries.

Table 5 displays estimates for globalization's effect on democracy across these three subsamples, each specification employing two lags and TWFE. Column 5 depicts the significant result: *FDI Outflows* positively impact *Equal Law* in the developing subset. The estimate is similar in magnitude and precision to the *Equal Law* findings in Table 3. As shown in columns 4 and 6, this relationship does not hold for least developed countries and OECD countries.

Columns 1-3 present results for globalization's effect on *Free Fair*. Notably, *Trade* is not a significant predictor of democracy in any subsample, suggesting richer pooled dynamics. Consistent with the pooled results in Table 3, the lags are strongly significant and opposite in sign within each developmental subset, which indicates that the year-to-year dynamics of democracy persist regardless of level of development.

[72] United Nations Department of Economic and Social Affairs, "Least Developed Country Category," accessed September 16, 2025, `https://www.un.org/development/desa/dpad/least-developed-country-category.html`; Organization of Economic Co-operation and Development, "Members and partners," accessed September 16, 2025, `https://www.oecd.org/en/about/members-partners.html`

Table 5: Developmental Analysis of Globalization's Effect on Democracy

	Dependent Variable								
	Free Fair			Equal Law			Equal Access		
	LDC	Developing	OECD	LDC	Developing	OECD	LDC	Developing	OECD
	(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)	(9)
FDI Inflows	0.002	−0.005	0.000	−0.011	−0.005*	−0.002	0.031	−0.009	0.004
	(0.165)	(0.012)	(0.011)	(0.071)	(0.003)	(0.004)	(0.039)	(0.006)	(0.011)
FDI Outflows	0.002	0.006	0.009	−0.047	0.007**	0.004	−0.052	0.009*	0.002
	(0.182)	(0.010)	(0.007)	(0.086)	(0.003)	(0.004)	(0.056)	(0.005)	(0.010)
Trade	−0.031	−0.009	0.001	−0.019	−0.002	0.008	0.003	0.002	0.008
	(0.035)	(0.009)	(0.007)	(0.015)	(0.005)	(0.005)	(0.018)	(0.006)	(0.008)
Tariff Rate	−0.024	0.031	0.007	−0.038	−0.008	−0.021	0.006	−0.021	−0.065
	(0.364)	(0.047)	(0.025)	(0.066)	(0.022)	(0.028)	(0.092)	(0.035)	(0.067)
Lag 1	0.77***	1.04***	1.21***	1.03***	1***	1.06***	0.81***	0.91***	0.87***
	(0.08)	(0.04)	(0.04)	(0.09)	(0.03)	(0.07)	(0.06)	(0.05)	(0.05)
Lag 2	-0.16***	-0.18***	-0.28***	-0.17*	-0.12***	-0.11*	0.06	-0.09*	-0.06
	(0.05)	(0.03)	(0.05)	(0.09)	(0.02)	(0.06)	(0.06)	(0.05)	(0.05)
Wooldridge test p-value	0.511	0.948	0.289	0.405	0.403	0.558	0.599	0.922	0.458
Observations	361	1,645	773	361	1,645	773	361	1,645	773

Notes: $^{*}p < 0.1$; $^{**}p < 0.05$; $^{***}p < 0.01$. Robust standard errors clustered at the country level are reported in parentheses below their corresponding point estimates. The globalization variable coefficients and their standard errors are multiplied by 100 for ease of comparison and viewing. The lag coefficients are left at the standard scale for ease of display. All models use two-way fixed effects with two lags. Columns 1-3 report results for LDCs, developing countries, and OECD countries respectively on *Free Fair*. Columns 4-6, and 7-9 report the same for *Equal Law* and *Equal Access* respectively. All models include economic controls, country fixed effects, and year fixed effects. The Wooldridge row reports p-values for Wooldridge's test for serial correlation.

As with the pooled analysis, columns 7-9 show that no variable has a strongly statistically significant impact on *Equal Access*. *FDI Outflows* are significant in the developing countries subset, but only barely at the ten-percent (p-value = 0.092). It appears that there are no subtle subsample relationships between *Equal Access* and economic globalization that are masked in the pooled analysis. Overall, development does change the nature of economic globalization's link to democracy, but only for particular measures of both globalization and democracy. It appears that outward foreign investment's connection to electoral quality is driven by developing countries, but no other globalization variable exhibits patterns consistent with this finding.

5.3 Discussion

The two substantive, pooled findings indicate a conflicting nature to the relationship under study. Trade openness harms the freeness and fairness of elections, and outward foreign investment promotes greater equality before the law and increased civil liberties. Developing countries drive the results of the latter, while development plays no interactive role in the former. I argue that these findings are underpinned by fairly clear mechanisms. This section proceeds as follows: first, I offer mechanisms that explain my two pooled findings; second, I reconcile these mechanisms with the heterogeneous effects highlighted in the previous section; last, I briefly consider the null findings.

Trade openness may harm electoral freeness and fairness through a variety of pathways. I emphasize two: 1) polarization and 2) inequality. Common to both mechanisms is an emphasis on how trade reshapes domestic political and economic conditions, in this case for the worse democratically.

On a broad scale, economic globalization has tended to increase domestic political polarization.[73] My results suggest that this trend is primarily driven by state-side factors, specifically trade openness. Autor et al. find that rising trade exposure exacerbates political polarization in the expanding country.[74] In their causal story, trade shocks displace domestic manufacturers, since commodities can now be imported *en masse* from foreign producers. With this shock, local communities suffer the consequences of economic dislocation.[75] Ferrara offers further evidence that import shocks drive negative feelings toward minorities and positive feelings toward established

[73] Autor et al., "Importing Political Polarization?"; Rodrik, "Why Does Globalization Fuel Populism?"

[74] Autor et al., "Importing Political Polarization?"

[75] See also: Daron Acemoglu et al., "Import Competition and the Great US Employment Sag of the 2000s," *Journal of Labor Economics* 34, no. 1 (2016): S141–198.

in-groups.[76]

Polarization emerges out of citizen grievances through a variety of channels. Often, these grievances are directed toward an outgroup: typically the political opposition and sometimes ethnic or religious minorities.[77] Social psychology studies demonstrate that people hold the strongest opinions regarding those most similar and most different to them.[78] As the political gap between "most similar" and "most different" grows, so too do the positive and negative emotions associated with the two groups. Further damage can be done when the incumbent, or an "opportunistic authoritarian", prods at these already intensifying emotions with populist rhetoric.[79]

The "imported" polarization, in turn, erodes democracy. Based on an experiment, Svolik et al. found that voters are more willing to accept antidemocratic actions from their preferred candidate when policy differences between candidates are large or the electorate is divided.[80] Polarization also tends to inhibit collective action toward civically desirable outcomes, as "the more people hear in a polarized political–discursive environment that they have zero-sum interests, where if 'they' win, 'we' lose, the less they seek joint collective actions."[81]

A related mechanism negatively linking trade openness and democracy is inequality. In many ways, the factors linking trade to inequality mirror those linking trade to polarization—in large part because inequality itself is often considered a driver of polarization.[82] When trade openness increases, small-scale domestic producers struggle to compete in global markets, with the wealthy remaining largely unaffected.[83] With demand for medium and low skilled labor decreasing, those affected struggle to find work. As Feenstra and Hanson argue, offshoring labor through trade intensifies the divide between economic winners and losers for both countries involved.[84] In the

[76] Federico Maria Ferrara, "Why Does Import Competition Favor Republicans? Localized Trade Shocks and Cultural Backlash in the US," *Review of International Political Economy* 30, no. 2 (2022): 678–701.

[77] Alberto Alesina and Eliana La Ferrara, "Ethnic Diversity and Economic Performance," *Journal of Economic Literature* 43, no. 3 (2005): 762–800.

[78] Jennifer McCoy et al., "Polarization and the Global Crisis of Democracy: Common Patterns, Dynamics, and Pernicious Consequences for Democratic Polities," *American Behavioral Scientist* 62 no. 1 (2018): 16–42; Noam Lupu, "Party polarization and mass partisanship: A comparative perspective," *Political Behavior* 37, no. 2 (2015): 331–356; Shanto Iyengar et al., "Affect, Not Ideology: A Social Identity Perspective on Polarization," *Public Opinion Quarterly* 76, no. 3 (2012): 405–431.

[79] Edoardo Grillo and Carlo Prato, "Reference Points and Democratic Backsliding," *American Journal of Political Science* 67, no. 1 (2023): 71–88.

[80] Milan W. Svolik, "Polarization versus Democracy," *Journal of Democracy* 30, no. 3 (2019): 20–32.

[81] McCoy et al., "Polarization and the Global Crisis of Democracy," 24–25.

[82] Rau and Stokes, "Income inequality and the erosion of democracy," 5.

[83] For research on the effect of trade liberalization on local jobs, see: Rafael Dix-Carneiro and Brian K. Kovak, "Trade Liberalization and Regional Dynamics," *American Economic Review* 107, no. 10 (2017): 2908–2946.

[84] Robert C. Feenstra and Gordon H. Hanson, "Globalization, Outsourcing, and Wage Inequality," The American

poorer country, the demand for skilled labor increases, which disproportionately benefits the well-educated (and usually comparatively richer).[85] In the richer country, the standard for skilled labor rises even higher, and now that the medium skilled labor has been offshored, those domestic workers lose their jobs. In both cases, the demand for skilled labor increases, as does inequality.

By exploiting variation in the responses of states' initial income distributions to nationwide growth rates as an instrument for inequality, Voorheis et al. find that inequality drives polarization.[86] Rau and Stokes explicitly link the latter half of this story to democracy.[87] They provide robust evidence across a number of models that income inequality contributes significantly to democratic erosion. And, consistent with Autor et al., they argue that polarization is a crucial factor. Thus, inequality (and, by extension, polarization) most likely mediates the relationship between trade openness and democracy.

Polarization is not the only factor linking the increased inequality from trade openness to democratic erosion. Inequality also reduces citizen capacity to protest elite capture.[88] Using data from Indonesia, Sim et al. suggests that increases in inequality lead to greater propensity for elite capture.[89] Rau and Stokes also reject a unidimensional explanation of inequality's impact on democracy. They find that inequality negatively impacts democracy even when controlling for polarization, suggesting that, among equally polarized countries, the more unequal countries are still at greater risk of democratic erosion. Their evidence further shows, contrary to conventional wisdom, that neither state capacity nor age of democracy significantly influences the link between inequality and democracy.

But why is electoral freeness and fairness, in particular, negatively affected by trade openness? Since international trade is a state-controlled enterprise, the first priority of an autocratizing regime would likely be to consolidate its rule, ideally in a manner mostly concealed from the public. Attacks on civil liberties, judicial institutions, political rights, and so on arouse more suspicion and discontent from civil society because the consequences are generally immediately felt. Conversely, as

Economic Review 86, no. 2 (1996): 240–245.

[85] Ibid., 242.

[86] John Voorheis et al., "Unequal Incomes, Ideology and Gridlock: How Rising Inequality Increases Political Polarization," *Social Science Research Network* (2015).

[87] Rau and Stokes, "Income inequality and the erosion of democracy."

[88] Elite capture, in this context, refers to a form of corruption in which elites usurp benefits intended for the lower classes.

[89] Armand Sim et al., "Inequality, Elite Capture, and Targeting of Social Protection Programs: Evidence from Indonesia," *The SMERU Research Institute*, SMERU Working Paper (2015).

long as the regime in power keeps the electorate mostly satisfied, violations of democratic electoral procedures are sometimes tolerated. Schedler's notion of "electoral authoritarianism" exemplifies this phenomenon.[90] In electoral authoritarian regimes, the aspiring autocrat slowly infringes on formal democratic systems, but subtly and discreetly enough as to avoid the ire of the public.[91] As a result, the incumbent gains while civil society is often blind to the ongoing democratic erosion.

Foreign direct investment outflows, by contrast, **are positively correlated with democracy**. Because the actors involved differ, this relationship must be interpreted in a very different context than that between trade openness and its negative effect on democracy. I argue that the positive relationship can be explained by an induction of "elite asset diversification", a stronger middle class, and a shift in domestic economic power dynamics.

In regard to the first mechanism, the movement of capital abroad gives economic elites the opportunity to diversify their assets internationally, reducing reliance on the authoritarian status quo. Freeman and Quinn deem this phenomenon the elite "exit option", arguing that foreign investment by domestic firms constrains the ability of the poor to tax elite gains.[92] As a result, if democratization efforts begin and taxes rise domestically, investors can move capital abroad rather than dispute wealth redistribution propelled by the emergence of democracy. The movement of capital abroad also creates a "collective action" problem among the economic elites. Elite interests begin to diverge as each invests abroad, since each investor is responsible for its own foreign investment and no longer shares an absolute interest in collectively resisting domestic democratization, instead preferring to freeride off others' resistance.[93]

My own finding departs from Freeman and Quinn in that their research emphasizes portfolio diversification as a specific driver of democracy, whereas my conclusion positions foreign direct investment outflows as a *possible* causal determinant. However, both their research and my own suggest that investment abroad lowers elite stake in autocratic consolidation. Acemoglu and Robinson highlight this mechanism, broadly explaining that international financial integration "reduces the extent to which democracy can pursue populist and highly majoritarian policies" and therefore "makes the elites feel more secure about democratic politics and discourages them from using

[90] Andreas Schedler, "Electoral Authoritarianism," in *Emerging Trends in the Social and Behavioral Sciences*, eds. Robert Scott and Stephen Kosslyn (John Wiley & Sons, 2015).
[91] See: Grillo and Prato, "Reference Points and Democratic Backsliding."
[92] Freeman and Quinn, "The Economic Origins of Democracy Reconsidered."
[93] Ibid., 61.

repression to prevent a transition from nondemocracy to democracy."[94]

This elite exit mechanism also explains why the rising inequality often caused by economic globalization did not obstruct democracy in my analysis. As elucidated earlier, research has found a robust link between domestic inequality and democratic erosion. From this, one might expect economic globalization, which tends to produce domestic winners and losers, to have a negative impact on democracy.[95] However, as Freeman and Quinn point out, most models of democratization and inequality assume a closed economy or, at most, an economy in which only certain types of assets can exit to foreign economies.[96] As a result, these studies may not capture a relationship between inequality and democracy that fundamentally shifts in an open economy, wherein elites have a viable asset exit strategy.

The second mechanism holds that economic globalization empowers a middle class that in turn exerts pressures on autocrats to democratize. In this mechanism, economic development serves as a key mediating variable. It is not economic globalization itself that directly empowers the middle class but rather the economic returns of globalization that create domestic jobs and expand the workforce. Outward foreign direct investment tends to raise demand for labor, since firms require domestic human capital to support their expansion abroad. Firms investing internationally thus increase wages to incentivize job creation to fund their operations abroad.[97] On a macroeconomic scale, outward investment generally fosters economic growth in the home country, and the flow of repatriated profits enriches the development of non-tradable domestic sectors—both of which open jobs for middle-class citizens to fill.[98]

The third mechanism contends that, since autocratic regimes rely on domestic economic re-

[94] Daron Acemoglu and James A. Robinson, *Economic Origins of Dictatorship and Democracy* (Cambridge University Press, 2006), 40.

[95] Dani Rodrik, Has Globalization Gone Too Far? (Institute for International Economics, 1997); Muller, "Economic Determinants of Democracy," 966–982.

[96] Freeman and Quinn, "The Economic Origins of Democracy Reconsidered," 60; For examples of models fitting these assumptions, see: Ben Ansell and David Samuels, "Inequality and Democratization: A Contractarian Approach," *Comparative Political Studies* 43, no. 12 (2010): 1543–1574; Robert H. Bates and Da-Hsiang Donald Lien, "A Note on Taxation, Development, and Representative Democracy," *Politics and Society* 14 (1985): 53–70.

[97] Alexandre Gazaniol and Catherine Laffineur, "Does Outward Foreign Direct Investment affect domestic real wages? An investigation using French micro-data," *FIW – Research Centre International Economics*, FIW Working Paper, no. 155 (2015).

[98] Preetha Kalambaden and Daniel Steffen, "The Effect of Outward Foreign Direct Investments on Home Employment: Evidence using Swiss Firm-Level Data," *Center for Regional Economic Development*, CRED Research Paper no. 28 (2020); Romana Korez Vide et al., "Exploring emerging markets' demographic and macroeconomic dynamics and the middle class growth: The case of China and India," *Sciendo* 67, no. 4 (2021): 33–55.

sources to maintain power, the movement of capital abroad reduces the state's domestic control.[99] As a result, autocrats lose at least a portion of the resources that might have been devoted to maintaining their influence over domestic elites. With state power diminished, the potential for mass mobilization and political liberalization would theoretically increase markedly.

When domestic elites invest in foreign economies, the home country's "elasticity of capital supply" increases.[100] Autocrats rely on economic resources to court the loyalty of elites and to repress political uprising and opposition, and thus capital flight sucks away a portion of autocratic political control. Acemoglu and Robinson argue that, in anticipation of the outward flow of capital, autocrats lower taxes in efforts to deter capital flight.[101] With less revenue, the state cannot ensure the patronage of economic elites, and, just as in the first mechanism, the elites have less incentive to block democratization.

Foreign direct investment outflows remain statistically linked to *Equal Law* in particular. The investing elites have little incentive to safeguard electoral quality or equality of access if there already exist fairly enforced laws that protect their investments. Strengthening judicial institutions and legal systems helps to stabilize the rule of law, which ensures that the conditions under which elites initially invest remain consistently and transparently enforced. As long as such conditions remain, the investing firms have little reason to safeguard electoral freeness and fairness. In fact, it potentially incurs more risk, as electoral democratization could empower the public to elect a leader (or more generalized leadership) that constrains elite privileges.

5.3.1 Understanding Treatment Heterogeneity

My study suggests that development plays little role in the relationship between *Trade* and *Free Fair*, but development does interact with the effect of *FDI Outflows* on *Equal Law*. The significant positive association between outward foreign investment and equality before the law and individual liberty appears to be driven by developing countries. This finding runs contrary to much research on this topic, which tends to conclude that globalization's influence on democracy grows much stronger in less developed countries, as opposed to developing and developed countries. As an

[99] Daron Acemoglu and James A. Robinson, *Why Nations Fail: The Origins of Power, Prosperity, and Poverty* (Crown Publishers, 2012).
[100] Acemoglu and Robinson, *Economic Origins of Dictatorship and Democracy*, 324.
[101] Ibid.

example of such prior studies, Li and Reuveny find that globalization influences democracy more strongly in the LDCs than in developed countries.[102] It also opposes conventional wisdom regarding trade, particularly the Stolper-Samuelson derivation of the Heckscher-Ohlin model, which implies a U-shaped effect of trade on inequality (and resultantly democracy).[103] This model and its many inspirations predict that developing countries should see a decrease in inequality as trade openness increases, while developed countries should see the opposite.[104] My research does not support such conclusions.

Trade's negative link to democracy does not vary across levels of development. This indicates that the increased global standard of living in the past few decades has positioned all countries, developed or not, as valuable trading partners. While the subsamples highlight treatment heterogeneity, they cannot overcome issues of non-independence. It is very possible that the relationship between *Trade* and *Free Fair* does vary across levels of development but that this link can only be properly uncovered by examining the interactions of particular trading dyads, which statistical methods are generally unequipped to do. Further research is needed to understand trade's intersection with development and its subsequent impact on democracy.

In regard to *FDI Outflows* and democracy, the financial risk of exporting capital is substantially higher in the LDCs, as Demirgüç-Kunt and Detragiache found in their 1998 analysis.[105] Elites in underdeveloped countries may be unwilling to take this risk, even if the ostensible returns are appealing. Furthermore, LDC elites may lack the capacity for substantial foreign investment. Indeed, the UNCTAD *World Investment Report 2024* reports that LDCs comprise only 0.075% of the world's total foreign direct investment outflows.[106] Elites in LDCs generally control fixed assets such as land, which are difficult to diversify internationally, and thus it **theoretically** follows that democracy would not emerge, as the cause is absent.

In developing countries, firms possess both the drive and capacity to invest abroad. Elite choices in most developing countries are not constrained by a lack of resources or highly unstable domestic

[102] Li and Reuveny, "Economic Globalization and Democracy," 46.

[103] Hyun-Jung Nam et al., "Trade openness and income inequality: The moderating role of institutional quality," *Global Finance Journal* 60, no. C (2024).

[104] Ibid.; Helen V. Milner and Keiko Kubota, "Why the move to free trade? Democracy and trade policy in the developing countries," *International Organization* 59, no. 1 (2005): 107–143.

[105] Asli Demirgüç-Kunt and Enrica Detragiache, "Financial Liberalization and Financial Fragility," *World Bank*, Working Paper 1917 (1998).

[106] United Nations Conference on Trade and Development (UNCTAD), *World Investment Report 2024: Investing in Sustainable Energy for All* (United Nations, 2024).

markets, as in the LDCs, but developing countries also typically have yet to achieve consolidated democracy, as in the majority of OECD countries. Since OECD countries are already developed and (usually) democratic, the choice to globalize would do little to influence their already consolidated democracy.[107] Freeman and Quinn underscore this point, writing that the conditions leading to democratization in open autocracies will not hold in existing democracies because "the financial forces at work will not lead to a reversal of previous democratic bargains."[108]

From a legalistic and infrastructural standpoint, LDCs lack the capacity to export meaningful amounts of capital. Thus, the theoretical cause for democratization is absent, as outward investment is limited. In developing countries, firms are large enough to invest abroad and elicit a state response, and, as a result, the mechanism holds. In the Global North, countries are already typically democratic, and thus the null finding is unsurprising for the same reasons outlined in the previous explanations.

5.3.2 Null Results

It also appears that economic globalization as a whole has little connection to equality of access (*Equal Access*). For the reasons mentioned above, an autocratizing, trade-open state would likely target electoral institutions before civil liberties. Elite asset diversification through foreign direct investment outflows also may not induce challenges to the legal privileges elites enjoy. Middle-class mobilization tends to focus on the most obvious, present issues. Most often, these issues regard clearly unfair legal treatments, not the more subtle, deeply embedded issues of distributive justice and civil liberties. Moreover, while the diminishing of state power loosens autocratic control of elections, it does not automatically strengthen equality of access through representative institutions.

The null results of *FDI Inflows* and *Tariff Rate* mesh with the proposed mechanisms. The inflow of foreign direct investment bolsters domestic firms but does not open up the "elite exit" option in the same way outflows do. Inflows bring foreign capital in, but domestic elites lack the capacity to repatriate that capital to diversify their own portfolios. As a result, less pressure is exerted by the elites against the state. The inflow of capital also fails to bolster the middle class, since the investments grant power primarily to the foreign firms, and therefore the middle class

[107] Paul Hirst and Grahame Thompson, *Globalization in Question: The International Economy and the Possibilities of Governance* (Polity Press, 1996).
[108] Freeman and Quinn, "The Economic Origins of Democracy Reconsidered," 65.

does not come to resemble a "business class" capable of pushing for democracy. In regard to the third mechanism, the inflow of FDI brings foreign capital into industries that are usually taxed or regulated by the state. Consequently, an autocratic state may actually benefit from the inflow of foreign capital, although my results suggest that inflows simply maintain the status quo.

While both trade openness and tariff rates are determined by the state, they differ in their consequences. Tariff rates exist in a *de jure* capacity. In other words, they represent formal policy shifts, but do not necessarily shift the actual political or economic climate of a given country. Because Trade represents a direct economic outcome, it exists in a *de facto* capacity. Furthermore, tariff rates can be legitimately manipulated by both democrats and autocrats alike with little domestic backlash. Theoretically, this would suggest a lack of systematic concomitant variation between tariff rate fluctuations and democratic change. Still, more research is needed on how the political implications of trade differ from those of tariffs.

6 Conclusion

This paper's findings in regard to trade openness and foreign direct investment outflows offer potential answers to questions about the globalization-democracy relationship. When the state controls both international economic integration and the domestic political system, the political system seems likely to shift away from democracy. However, when domestic firms invest abroad, unique institutional and social pressures are exerted against the state, which may spur democratization. It is worth noting that the inflow of capital does not appear to exert these same pressures, hence the null findings in regard to foreign direct investment inflows. These results should be approached with caution, as the associations of trade openness and FDI outflows with democracy are both small and limited to only one dimension of democracy each. An explanation of democratization, democratic erosion, and autocratic consolidation ought to include my finding as only a small part of a much larger approach that considers country-specific factors and intracountry trends, not to mention a great many non-economic variables.

Future research on the globalization-democracy issue could build upon my findings in a few illuminating ways. My results might be sensitive to variable measurement and model estimation strategy. My choice of dependent variables differs from many other scholars, who tend to uti-

lize either aggregated continuous measures of democracy such as Polity and Freedom House or dichotomous measures of democracy. A sensitivity analysis that specifies the same models using different measurements of democracy as dependent variables might shed light on the robustness (or absence thereof) of my findings. In regard to estimation, while my models were robust under two estimators and a variety of modifications, a more thorough analysis would include other GMM estimators alongside nonparametric or semiparametric causal inference methods better-suited to address possible violations of the linearity assumption.

Relatedly, the causal direction of the relationship between globalization and democracy warrants further investigation. There are solid theoretical reasons to suspect that democracy itself causes countries to globalize.[109] While my lagged independent variables help to establish a causal direction, it remains possible that globalization takes longer than expected to influence democracy and that democracy is actually influencing globalization. A compelling way to address this issue would be to utilize an instrument for globalization to isolate globalization's effect on democracy. Finding a suitable instrument that could feasibly satisfy the exclusion restriction might be challenging, but if done, it would be possible to isolate the relationship in this particular direction. Another way to better understand the directionality of the relationship would be to specify models with democracy as the independent variable and globalization as the dependent variable. Instruments for democracy are generally more intuitive and simple to determine, and there already exist studies utilizing this approach that could be expanded.[110]

Beyond methodology, the most obvious limitation of my research design is that it focuses exclusively on economic globalization. Cultural, social, and political globalization are arguably just as important as economic globalization in terms of potential impact on democracy. I chose to focus exclusively on economic globalization for a reason I suspect most other scholars also have: data availability and interpretability. Economic data is typically the most widely available and easily interpretable, whereas cultural and sociopolitical indices of globalization are often less-reported and suffer from measurement error.

Penultimately, an issue plaguing all studies on globalization and democracy is highlighted succinctly by Przeworski in his interview with Munck. Przeworski remarks that "most of [the studies

[109] E.g. Helen V. Milner and Bumba Mukherjee, "Democratization and Economic Globalization," *Annual Review of Political Science* 12 (2009): 163-181; Eichengreen and Leblang, "Democracy and Globalization."
[110] Ibid.

examining globalization-democracy theory] are based on statistical methods that assume that observations of particular countries are independent."[111] Globalization inherently involves interconnectedness. A country cannot be "globalized" in isolation. However, all quantitative approaches to examining the globalization question, including my own, look at the data of countries as if the specific partnerships and interactions between and among countries are independent. Przeworski notes that a methodological breakthrough would be required to address this inherent feature of globalization, one that still seems out of reach. That said, spatial econometrics might be a compelling step towards studying the question at hand.

Finally, returning to this paper's introduction, worldwide democracy is not only eroding, but its opposite, authoritarianism, is on the rise. This paper is ultimately rooted in a desire to reverse this trend, which leads me to seek practical and effective responses to a world increasingly oppressed. My hope had been that economic globalization might be one such response. That hope has been complicated by the results of this paper. However, both democratization and globalization may be promoted by means beyond the purely economic, or by economic means not examined in this paper. In future research I intend to investigate such alternative means.

[111] Adam Przeworski, "Capitalism, Democracy and Science," interview by Gerardo L. Munck, New York, New York, February 23, 2003.

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Appendix

A1

Table A1 displays the results for globalization's effect on democracy after adding demographic controls in addition to two-way fixed effects and economic controls. The effect magnitudes of *Trade* and *FDI Outflows* on *Free Fair* and *Equal Law* are very similar to those presented in Table 3. Column 4 does not show significant results for *Trade* anymore, in contrast to the fully pooled results with typical economic controls. However, the significance levels and effect sizes are almost identical in columns 1 and 2. As in Table 3, *FDI Outflows* are significant and positive in columns 5, 6, and 8.

Consistent with Table 3, the one-lag models reject the null of no serial correlation in all cases except column 9, while the two-lag models do not reject it. Also consistent with the previous results, the first lag is almost always positive and strongly significant (except for the Arellano-Bond estimates for *Equal Access*), while the second lag is significant and negative.

The demographic controls are, at best, inconsistent predictors of democracy. In all columns, the log of population size is insignificant at even the ten-percent level. Population growth does attain significance in columns 7-10. In columns 7 and 8, the effect is negative, indicating that, as the population growth rate increases, *Equal Law* decreases. The opposite is true in regard to population growth and *Equal Access*

Table A1: Pooled Analysis of Globalization's Effect on Democracy, Demographic Controls

	Dependent Variable											
	Free Fair				Equal Law				Equal Access			
	TWFE		Arellano-Bond		TWFE		Arellano-Bond		TWFE		Arellano-Bond	
	(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)	(9)	(10)	(11)	(12)
FDI Inflows	−0.009	−0.008	0.003	0.004	−0.006*	−0.006*	−0.003	−0.003	−0.007	−0.007	−0.002	−0.002
	(0.013)	(0.012)	(0.003)	(0.003)	(0.004)	(0.003)	(0.002)	(0.002)	(0.005)	(0.005)	(0.003)	(0.003)
FDI Outflows	0.010	0.009	−0.003	−0.003	0.008**	0.008**	0.004	0.004*	0.007*	0.007*	0.001	0.001
	(0.011)	(0.010)	(0.003)	(0.003)	(0.003)	(0.003)	(0.002)	(0.002)	(0.004)	(0.004)	(0.005)	(0.005)
Trade	−0.017**	−0.017**	−0.019	−0.023	−0.001	−0.001	0.017	0.016	0.001	0.0002	0.014	0.013
	(0.007)	(0.007)	(0.016)	(0.017)	(0.005)	(0.005)	(0.015)	(0.015)	(0.005)	(0.005)	(0.009)	(0.009)
Tariff Rate	−0.008	−0.013	−0.062	−0.071	−0.006	−0.008	−0.056	−0.059	−0.015	−0.016	−0.022	−0.023
	(0.044)	(0.043)	(0.058)	(0.059)	(0.018)	(0.018)	(0.039)	(0.039)	(0.023)	(0.024)	(0.030)	(0.030)
Log Population Size	−1.634	−1.128	−4.046	−1.095	−0.199	−0.132	0.563	1.179	−0.845	−0.811	0.312	0.207
	(1.461)	(1.391)	(4.564)	(4.921)	(0.737)	(0.726)	(3.416)	(3.482)	(0.767)	(0.750)	(2.697)	(2.747)
Population Growth	−0.125	−0.141	−0.218	−0.223	−0.018	−0.034	−0.084*	−0.096**	0.063*	0.063*	−0.048	−0.049
	(0.220)	(0.205)	(0.202)	(0.193)	(0.046)	(0.045)	(0.046)	(0.046)	(0.037)	(0.036)	(0.070)	(0.071)
Lag 1	0.85***	0.96***	0.08*	0.09*	0.9***	1.02***	0.14***	0.14***	0.85***	0.9***	0	0
	(0.02)	(0.05)	(0.05)	(0.05)	(0.02)	(0.03)	(0.03)	(0.03)	(0.03)	(0.04)	(0.04)	(0.04)
Lag 2		-0.13***		-0.14***		-0.13***		-0.08***		-0.06		-0.04*
		(0.03)		(0.04)		(0.02)		(0.03)		(0.04)		(0.03)
Wooldridge/AR2 test p-value	0.01	0.823	0.012	0.19	0	0.693	0.051	0.927	0.32	0.94	0.042	0.802
Observations	2,757	2,757	2,360	2,360	2,757	2,757	2,360	2,360	2,757	2,757	2,360	2,360

Notes: $^{*}p < 0.1$; $^{**}p < 0.05$; $^{***}p < 0.01$. Robust standard errors clustered at the country level are reported in parentheses below their corresponding point estimates. The globalization variable coefficients and their standard errors are multiplied by 100 for interpretation and viewing. The lag coefficients are left at the standard scale for ease of display. Columns 1-2, 5-6, and 9-10 report results from the standard two-way fixed effects estimation on *Free Fair*, *Equal Law* and *Equal Access* respectively. Columns 3-4, 7-8, and 11-12 report results from the Arellano-Bond generalized methods of moments estimator for each dependent variable. All models include economic controls, demographic controls, country fixed effects, and year fixed effects. The Wooldridge/AR2 row reports p-values for Wooldridge's test for serial correlation for the standard TWFE models and p-values for the AR2 test for second-order serial correlation for the GMM models.

A2

Table A2 displays results for globalization's effect on democracy with outliers excluding according two two criteria. All models use two-way fixed effects. In columns 1, 3, and 5, observations with a standardized residual above 1.96 (according to the estimations in Table 3). Columns 2, 4, and 6 remove observations with a Cook's distance above four divided by the number of observations. *Trade* does not remain a robust predictor of democracy, indicating that its effect on democracy is, in at least some capacity, driven by outliers. *FDI Outflows*, on the contrary, still exerts a statistically significant positive effect on *Equal Law*. The first lag is always positive and significant, while the second is typically negative and significant.

Table A2: Pooled Analysis of Globalization's Effect on Democracy, No Outliers

	Dependent Variable					
	Free Fair		Equal Law		Equal Access	
	(1) Std. Resid	(2) Cook's Dist	(3) Std. Resid	(4) Cook's Dist	(5) Std. Resid	(6) Cook's Dist
FDI Inflows	0.001	−0.006	−0.004**	−0.004**	0.002	0.001
	(0.005)	(0.005)	(0.002)	(0.002)	(0.002)	(0.002)
FDI Outflows	0.001	0.007	0.005**	0.005***	−0.002	0.001
	(0.004)	(0.004)	(0.002)	(0.002)	(0.002)	(0.002)
Trade	−0.004	−0.003	−0.002	−0.002	−0.001	0.000
	(0.003)	(0.003)	(0.002)	(0.002)	(0.002)	(0.002)
Tariff Rate	0.018	0.008	0.003	−0.003	0.003	0.005
	(0.020)	(0.018)	(0.011)	(0.010)	(0.007)	(0.008)
Lag 1	1.04***	1.04***	1.03***	1.02***	0.95***	0.94***
	(0.02)	(0.02)	(0.01)	(0.01)	(0.02)	(0.02)
Lag 2	-0.09***	-0.11***	-0.08***	-0.08***	-0.01	-0.01
	(0.02)	(0.02)	(0.02)	(0.01)	(0.02)	(0.02)
Wooldridge/AR2 test p-value	0	0.001	0.792	0.656	0.041	0.003
Observations	2,681	2,658	2,682	2,661	2,635	2,621

Notes: $^{*}p < 0.1$; $^{**}p < 0.05$; $^{***}p < 0.01$. Robust standard errors clustered at the country level are reported in parentheses below their corresponding point estimates. The globalization variable coefficients and their standard errors are multiplied by 100 for ease of comparison and viewing The lag coefficients are left at the standard scale for display. All models report results from the standard two-way fixed effects estimation without outliers, have two lags, and include economic controls, country fixed effects, and year fixed effects. Columns 1, 3, and 5 report results from TWFE models excluding observations with a standardized residual above an absolute value of 1.96. Columns 2, 4, and 6 exclude observations with a Cook's distance above 4/n. The Wooldridge row reports p-values for Wooldridge's test for serial correlation for the standard TWFE models.

A3

Table A3 displays results for globalization's effect on democracy after adjusting for possible long-run country-specific trends. In columns 1, 3, and 5, I estimate the respective 2-lag TWFE models from Table 3 with the addition of a country-specific linear time trend. In columns 2, 4, and 6, I report estimates from the corresponding Table 3 specifications using a first-differenced specification, which transforms all variables into period-to-period changes. Under first-differencing, any underlying time trends are made constant and absorbed by the intercept. Across all six specifications, globalization's relationship with democracy remains small and typically insignificant, suggesting that long-run country-specific trends might explain part of the relationship between globalization and democracy. However, these findings should be interpreted with caution. If globalization's effect on democracy operates gradually, then detrending will remove genuine signal. Similarly, first-differencing considers only year-to-year changes and amplifies measurement error. For these reasons, fixed effects models are typically preferred in the literature, a practice I too follow.

Table A3: Pooled Analysis of Globalization's Effect on Democracy, Trends

	Dependent Variable					
	Free Fair		Equal Law		Equal Access	
	(1) TWFE	(2) First-difference	(3) TWFE	(4) First-difference	(5) TWFE	(6) First-difference
FDI Inflows	−0.003	−0.005	−0.003	−0.003	−0.005	−0.003
	(0.010)	(0.009)	(0.003)	(0.003)	(0.004)	(0.005)
FDI Outflows	0.005	0.005	0.004*	0.003	0.004	0.003
	(0.009)	(0.008)	(0.002)	(0.003)	(0.004)	(0.006)
Trade	0.016	0.003	0.013	0.023	0.014**	0.012
	(0.010)	(0.015)	(0.009)	(0.016)	(0.007)	(0.010)
Tariff Rate	−0.031	0.005	−0.003	−0.018	−0.039	0.021
	(0.055)	(0.042)	(0.026)	(0.025)	(0.028)	(0.023)
Lag 1	0.86***	0.26***	0.91***	0.38***	0.78***	0.14***
	(0.05)	(0.07)	(0.03)	(0.07)	(0.04)	(0.04)
Lag 2	−0.18***	−0.07**	−0.15***	0.02	−0.07*	0.02
	(0.03)	(0.03)	(0.02)	(0.04)	(0.04)	(0.04)
Country-Specific Trends	Yes	No	Yes	No	Yes	No
Wooldridge test p-value	0.778		0.585		0.594	
Observations	2,779	2,644	2,779	2,644	2,779	2,644

Notes: $^{*}p < 0.1$; $^{**}p < 0.05$; $^{***}p < 0.01$. Robust standard errors clustered at the country level are reported in parentheses below their corresponding point estimates. The globalization variable coefficients and their standard errors are multiplied by 100 for ease of comparison and viewing. The lag coefficients are left at the standard scale for display. Odd-numbered columns report results from two-way fixed effects models with country-specific linear time trends, estimated via OLS with explicit country dummies, year dummies, and country-by-trend interactions. Even-numbered columns report first-differenced models with year dummies, which eliminate both country fixed effects and country-specific linear trends through differencing. All models include two lags of the dependent variable, economic controls, and year fixed effects. The Wooldridge row reports p-values for Wooldridge's test for serial correlation for the TWFE models.

A4

V-Dem is often criticized for relying on anonymous expert surveys to produce their scores.[112] These criticisms certainly have some merit, as the logic used to obtain scores is obscured by anonymity, and, to some extent, the scores are influenced by coder bias. V-Dem does take steps to correct for coder bias, but subjective opinion will nonetheless influence ratings. Critics of V-Dem may laud "dichotomous" measures of democracy, which ostensibly offer more objective categorizations.[113] Indeed, the criteria used to separate democracies from non-democracies typically hinge on objective measures, such as election regularity and multiparty competition. The interpretability of results also improves with a dichotomous measure, as there are clear criteria for binary regime classification and the interpretation of coefficients (typically obtained through logistic regression) is more straightforward.

However, bifurcated, dichotomous, yes-no coding does not reflect the immense scope of nuanced, real-world gradations of democracy and authoritarianism. V-Dem scores, despite admitted criticisms, present its data in a form that replicates these gradations. Dichotomous coding can and does oversimplify reality. What of hybrid regimes or partial democracies? Dichotomous measures lump these regimes together with full autocracies. With a dichotomous classification, a country completely void of elections and a country with regular, albeit flawed elections would both be categorized as dictatorships, despite pronounced, innate differences.

Furthermore, V-Dem scores, while no doubt the result of subjective judgment, amalgamate the subjective judgments of many experts. Dichotomous measures, on the other hand, are typically developed by a handful of scholars at most. True, these scholars use objective measures of democracy to categorize regimes, but there still exists subjective judgment in the choice of which measures to include. Such is apparent in the (often widely) different outputs of the popular dichotomous measures. No doubt, dichotomous measures rely on less subjective judgment than V-Dem, but what they gain in objectivity, they lose in nuance.

[112] For instance: Little and Meng, "Measuring Democratic Backsliding."

[113] Three common dichotomous measures of democracy are presented in the following pieces: José Antonio Cheibub et al., "Democracy and Dictatorship Revisited," *Public Choice* 143, no. 1–2 (2010): 67–101; Carles Boix et al., "A Complete Data Set of Political Regimes, 1800–2007," *Comparative Political Studies* 46, no. 12 (2013): 1523–54; Adam Przeworski et al., *Democracy and Development: Political Institutions and Well-Being in the World, 1950–1990* (Cambridge: Cambridge University Press, 2000).